THE CASH GAP

THE SME DEATH TRAP

SIMON KRAMER

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Chapter One

THE CASH GAP

THE SME DEATH TRAP

Why Profitable Businesses Fail and How to Make Sure Yours Doesn't

Simon Kramer *Founder, Qashivo*

Chapter Two

Foreword

I've spent decades as an accountant and finance advisor working with small and medium-sized businesses. Not the ones you read about in the Financial Times. The ones that employ ten people, or twenty, or fifty. The ones where the owner's name is above the door and their personal guarantee is on the lease. The ones that make up the vast majority of the UK economy and yet receive the least amount of useful financial guidance.

In that time I've sat in hundreds of meetings, reviewed thousands of sets of accounts, and had more conversations about cash flow than I care to count. Some of those conversations were celebrations. A business that had grown carefully, managed its working capital brilliantly, and was now in a position to expand from strength. A business owner who had built a cash reserve, negotiated smart terms with their suppliers, and could look at their thirteen-week forecast on a Monday morning and feel genuinely confident about the quarter ahead.

Those conversations are why I do this work. They're the proof that getting this right isn't just possible but transformative. I've watched

businesses go from permanently anxious about cash to quietly, consistently profitable. Not because they found some secret formula. Because they understood the mechanics of how cash moves through a business and they built a system to manage it.

But I've also sat in the other meetings. The ones where the colour drains from someone's face. The ones where a business owner who's worked harder than almost anyone I know discovers that their profitable company can't pay its bills. The ones where I've had to recommend administration, or closure, or the kind of restructuring that keeps you awake for months.

Those conversations are why I wrote this book.

The gap between those two outcomes, the thriving business and the failing one, is almost never talent. It's almost never effort. It's almost never the quality of the product or the size of the market. It is working capital. It is the cash gap. It is the space between spending money and getting it back, managed or unmanaged, visible or invisible, controlled or left to chance.

After years of building working capital systems manually with clients, of creating spreadsheets and processes and credit control routines that worked beautifully when they were followed and fell apart the moment the owner got busy, the idea that eventually became Qashivo started to take shape. If the system worked but the discipline was the weak link, what if the discipline could be automated? What if credit control, cash flow forecasting and financing could run as one integrated system without relying on someone remembering to update a spreadsheet every Monday morning?

That question is what led to Qashivo. But this book is not about the platform. It is about the system underneath it, the same three pillars I've been building by hand with clients for decades, the same principles that work whether you use software or a spreadsheet or the back of an envelope. This book is about you. About your business. About the gap that exists right now between when your cash goes out and when it comes back in, and about what you can do, starting today, to close it.

I am, if it's not already obvious, passionately, unreasonably, possibly obsessively committed to this subject. Not because cash flow is glamorous. It's not. Not because working capital management is exciting dinner party conversation. But because I've seen, over and over again, that the businesses which understand this survive, and the ones that don't are left to the mercy of forces they never saw coming.

The UK statistics on business survival are sobering. Fourteen thousand businesses close every year because of late payments alone. Thirty-eight businesses every day. That is not pessimism, it's arithmetic. And while there are many reasons a business can fail, the one that I see most often, the one that kills businesses that were otherwise doing everything right, is cash.

This book exists to change those odds for you. Not with theory. Not with jargon. With the same plain English, practical guidance that I give to the clients who sit across my desk every week. Some of those clients are now among the most successful SMEs I've ever worked with. Not because I gave them anything complicated. Because I gave

them what this book will give you: a system that works, explained in a way that makes sense.

Right. Let's begin.

Chapter Three

Introduction

The Enemy You Can't See

Let's start with an uncomfortable truth.

Every year, thousands of businesses that are actually quite good at what they do; businesses with real customers, real products, real revenue; they quietly die. Not because they had a bad idea. Not because the market didn't want what they were selling. Not because the owner wasn't working hard enough. Trust me, they were working themselves into the ground.

They died because they ran out of cash.

Now at this point you might be thinking "well that's obvious isn't it, if you run out of money your business dies, thanks for that, very helpful." And you'd be right to be mildly irritated. But here's the bit that isn't obvious. Here's the bit that keeps people like me, peo-

ple who've spent decades sitting across tables from business owners watching the colour drain from their faces, up at night.

Most of them never saw it coming.

Not because they were stupid. Not because they weren't paying attention. But because the thing that killed their business was invisible. It was hiding in the gap between when they spent money and when they got it back. A gap that on a good month felt like nothing. A gap that on a bad month felt like standing at the edge of a cliff in the dark.

I call it the Cash Gap. And I promise you, it's waiting for your business right now.

I've watched it swallow a printing company that had been trading for years. I've watched it finish off a mortgage business that was genuinely, seriously profitable right up until the moment it wasn't. I've watched it slowly bleed a design agency that was winning awards and still couldn't make payroll without an overdraft.

Different industries. Different sizes. Different owners. Same killer.

Before we go any further, I want to be clear about something. Those four stories, which you'll read in Part One, are four businesses that found themselves on the wrong side of the Cash Gap. But they're four out of hundreds I've worked with over the years. The majority of those hundreds are still thriving, built on quiet, professional discipline that nobody ever writes articles about because it's not dramatic enough. Those businesses are wildly successful. Not because they got lucky. Because they got this right.

I chose these four stories because they illustrate, powerfully and honestly, what happens when the cash gap isn't understood and not managed. But the purpose of this book isn't to frighten you. It's to give you the same tools, the same understanding, and the same system that the successful businesses use. The ones that make it look easy because they put the work in when nobody was watching.

You already know the odds aren't stacked in your favour. That is not me being dramatic, it's the data. And while businesses fail for all sorts of reasons, the one I see most often, the one that kills companies that were otherwise doing everything right, is cash. Not talent. Not effort. Not product. Cash.

That's why understanding the Cash Gap matters. Not as an academic exercise. Not as something you'll get around to when things settle down. Now. Today. Because the gap doesn't wait for you to be ready.

Daniel Priestley, whose work I admire and whose influence you'll probably detect, has said that everything in business is downstream from lead generation. And he's right. If you can't generate enough leads to make a profit, you won't be around long enough to worry about cash. I'll concede that point freely. But here is what comes immediately after. The moment you can generate leads, the moment the revenue is flowing and the business is nominally profitable, the very next thing that determines whether you survive or don't is how you manage your working capital. Many accountants would argue it comes before lead generation, and they have a case, but that's a technicality I'm happy to leave for a dinner party debate that nobody else at the table will enjoy. The practical reality is this: lead generation gets you

into the game. Working capital management keeps you in it. And this book is about keeping you in it.

The maddening thing, and I say this with the weary affection of someone who's delivered this particular speech more times than he cares to remember, is that the Cash Gap isn't complicated. It is not some dark financial art known only to CFOs and accountants who went to better universities than you. It's three things. What people owe you. What you owe other people. And how long the gap is between the two.

That's it.

The problem isn't understanding it. The problem is that nobody ever sat down with most SME owners and explained it in plain English. Instead they got a set of annual accounts once a year, a slightly judgmental look from their bank manager, and the lingering feeling that the system was designed for people who already knew the rules.

This book is the conversation nobody had with you.

It won't make you a finance expert. Frankly you don't need to be one. What it'll do is give you the understanding, the tools, and perhaps most importantly, the early warning system to make sure the Cash Gap never becomes your death trap.

Right. Let's get into it.

Chapter Four

PART ONE: THE STORIES

Chapter Five

The Printing Company

The machines were beautiful. I mean that sincerely. If you've never stood next to a commercial printing press in full operation, you've missed one of the quieter spectacles of modern manufacturing. Floor-standing, heavy as a car, humming with purpose. The kind of equipment that makes you think, yes, this is a real business. This is serious.

And it was a real business. That was the thing. The directors had been in the printing trade their entire working lives. They knew paper weights the way a chef knows seasoning. They had long-standing customer relationships, a decent reputation, and the kind of quiet professional pride that doesn't announce itself but is obvious to anyone paying attention.

When I came on board as their accountant, the business looked, on the surface, like exactly what it was. An established commercial print-

ing company serving other businesses, producing brochures, marketing materials, packaging, all the printed collateral that keeps the commercial world turning. Real customers. Real orders. Real work.

The problem was underneath all of that. And it had been there for a long time before I arrived.

Those beautiful machines were financed through lease arrangements. Monthly payments, fixed, non-negotiable. The presses didn't care whether the company had a good month or a bad month. The presses didn't care whether three big clients reordered or whether one of them quietly took their business elsewhere. The lease payments arrived on the same date, for the same amount, every single month, like a standing order that had been set up by someone who assumed the good times would never end.

Here is the thing about fixed costs that nobody explains to you when you sign the lease agreement. They're only safe when volume is guaranteed. And in commercial printing, volume is never guaranteed.

What happens when volume drops, even a little, is this. Your revenue falls, but your biggest costs don't. Your margins, which looked healthy when the machines were running at capacity, suddenly compress. You're still busy. You're still producing. You're still paying your people, still buying materials, still opening the doors every morning. But you're now working to feed the machines rather than to feed the business. The equipment that was supposed to be your competitive advantage has become your captor.

Within about twelve months of starting work with them, I could see where this was heading. The numbers were telling a story that the activity on the shop floor was hiding. The business was turning over money, it was producing work, it was doing all the things a printing company is supposed to do. But the gap between what was coming in and what was going out, specifically those immovable lease commitments, was tightening month by month. I sat across the table from these directors, people I liked, people I respected, and I told them the position was dangerous. Not might become dangerous. Was dangerous. Right now.

They heard me. They weren't fools and they weren't in denial. But what do you do? You've got machines you can't hand back. You've got lease agreements you can't renegotiate. You've got staff relying on you and customers expecting deliveries. You can't just stop. So you do what every reasonable, hardworking business owner does in that situation. You try harder. You chase more work. You tell yourself that next month will be better, that the pipeline is building, that the big order is coming.

Sometimes it does come. And sometimes it doesn't.

For about two years I watched this play out. I kept raising it. They kept listening. But the structural reality of their cost base was a trap that no amount of effort could spring. They needed a certain volume of work every single month just to cover the leases before they could even begin to think about profit. And that volume wasn't consistently arriving.

Then Covid hit.

I won't pretend Covid was the sole cause of what happened next. The position had been deteriorating for two years and I'd been saying so for most of that time. But Covid did what external shocks always do to businesses that are already fragile. It didn't create the crack. It kicked the wall in.

Volume didn't just dip. It fell off a cliff. Commercial printing relies on other businesses having things to print, and when half the country shut its doors, the order book emptied in a way that nobody could have planned for. The lease payments, of course, didn't empty with it. They sat there, unchanged, unmoved, utterly indifferent to the fact that the world had stopped.

Within a few months it was over. The conversation I'd been dreading, the one I'd been gently preparing them for across two years of carefully worded warnings, finally arrived. I suggested they might want to consider administration.

The atmosphere in that room is something I still think about. There was no shouting. No recriminations. Just a quiet, tense resignation. These were people who had given their professional lives to this trade, who knew the business inside out, who had done nothing wrong except build a cost structure that couldn't flex when the world did. They sat there and they listened, and you could see them absorbing it, the way you absorb news that you've known was coming but hoped somehow wouldn't.

We talked it through. The debts, the obligations, the options. And then I said something that changed everything.

"What if you started again?"

Not a new idea. Not a new industry. Not a reinvention in any dramatic sense. The same people. The same customers. The same market knowledge. The same relationships built over decades in the trade. But this time, instead of owning the presses and carrying the leases, they'd outsource the printing. Every job that came through the door would be produced by a third-party printer, and the cost of production would be entirely variable. No leases. No fixed equipment costs. No monthly standing order that didn't care whether you'd a good month or a bad month.

They'd been thinking about it. That was the interesting part. They knew, somewhere in the back of their minds, that the model was the problem, not the market and not the customers. But there is a difference between knowing something and acting on it. And the only realistic route to that new model was through administration. It's brutal and it carries a stigma that no business owner wants attached to their name. But sometimes it's the only door to the other side.

They went through it. And on the other side, within days, literally days, a new company was trading.

Same directors. Same phone numbers in their contacts. Same customers who knew the quality of their work and didn't care whose press it came off. Same market. Same expertise. Same people.

The only thing that had changed was the cost structure.

And the new business was profitable from day one.

I want you to sit with that for a moment, because it is the most important sentence in this chapter. A business that had been slowly suffocating for years, that had consumed two years of warnings and months of agonising and finally the trauma of administration, was replaced by an almost identical business that made money from its very first week of trading.

Nothing had changed except the relationship between their costs and their revenue. In the old model, a huge portion of production cost was fixed. It sat there regardless of how much work came through the door. In the new model, every cost moved with every job. Busy month, higher costs. Quiet month, lower costs. The gap between money going out and money coming in, the gap that had been quietly killing them for years, had been closed. Not by working harder. Not by selling more. Not by some ingenious marketing strategy or a lucky break. By restructuring the way the business spent money.

They're still trading today. They're still my client. And from the outside, and I suspect from the inside too, the business is healthier, calmer and more resilient than it ever was when those beautiful machines were humming on the shop floor.

Sometimes I think about those presses. Expensive, impressive, tangible. The kind of assets that make a business feel substantial. The kind of assets that a bank manager would nod approvingly at. The kind of assets that, in the end, were the only thing standing between a group of talented people and a profitable business.

They just didn't know it yet.

Chapter Six

The Mortgage Company

I wasn't hired to be the Finance Manager. Not really. I was hired to find out where the money had gone.

The owners of the business knew something was wrong. They had a mortgage company that by every visible measure was performing brilliantly. Subprime lending, which I appreciate now carries the weight of everything that came after, but at the time was a legitimate and thriving sector. Their brokers were busy. Their customers were plentiful. Their commission income was strong.

And yet the cash wasn't where it should have been.

They brought me in to do the forensic accounting. I expected it to take weeks to unpick. It took days. Because it was all hiding in plain sight.

A director, who had been running the finances before my arrival, had been siphoning cash out of the business to fund a personal property portfolio. Not small amounts. Millions. Over two to three years, while the business was trading profitably and the owners believed everything was in order, this individual had been quietly bleeding the company dry. The money that should have been sitting in reserve had been diverted into bricks and mortar that belonged to someone else entirely.

The owners pursued a legal case. It was lengthy, exhausting, and ultimately they won. But winning a court case and recovering millions in stolen cash are two very different things. The money was locked in property that would take years to liquidate. Years they didn't have.

Because while all of this was grinding through the courts, the business still needed to trade. Twenty people in a single office, phones ringing, brokers matching customers with mortgage products, commissions rolling in. The engine was running. It just had no fuel in reserve.

The fraud created the vulnerability. It stole the buffer. But the killing blow came from somewhere else entirely.

In late 2007, the subprime mortgage sector began to collapse. The rest of the world wouldn't fully understand what was happening until Lehman Brothers fell in September 2008. But we were feeling it months before any of that. We were the canary in the coal mine, and the air had already turned toxic.

The lenders who manufactured the mortgage products our brokers sold started pulling them from the market. Not gradually. Overnight. Products that had been available on Monday were gone by Friday. Entire ranges of mortgages simply ceased to exist.

And here is the detail that still haunts me. The customers didn't stop coming.

We had a pipeline full of people who desperately needed mortgage products. Families trying to refinance. Homeowners whose existing deals were expiring. People for whom a mortgage was the difference between keeping their home and losing it. They were calling every day.

And we hadn't a thing to sell them.

Every morning, people came to work in an office where the phones were still ringing, where the demand was still there, and you couldn't help a single one of them. Some of those customers lost their homes. It was horrific. Like stepping off a cliff and discovering there was no bottom.

The Managing Director couldn't bring himself to make the redundancies. He believed the market would recover, that the products would come back. He believed if he could just hold on long enough the phones would start producing revenue again. So every week, a full payroll went out. And every week, nothing came in to replace it. The cash cushion that might have bought him time to think clearly had already been stolen. There was no buffer. There was no runway.

It's the most human response in the world. And it was fatal.

From the moment it became clear that the revenue wasn't coming back to administration, it was a matter of weeks.

The fraud alone might have been survivable. The market collapse alone might have been survivable. The paralysis alone might have been survivable. But stacked together, with no reserves and no room to manoeuvre, the business didn't stand a chance. A perfect storm hitting a ship that had already been stripped of its lifeboats.

And the cruelest irony. A full pipeline of willing customers. Dozens of them. Ready to buy. But demand without supply is just noise. And noise doesn't pay the wages.

The owners moved on. They went to other businesses and by all accounts did fine.

I should tell you what it cost me personally, because it's relevant to everything this book is about.

When I took the role, I'd relocated my family from London to the Midlands to be closer to the office. We bought a house, a rather large one, on the strength of the salary the position provided.

When the business closed in November 2007, I couldn't find another role that replaced the income quickly enough. We overextended. We had no buffer.

We lost the house in November 2008. Exactly one year after the business that was paying for it ceased to exist.

If you want to know why I care about cash buffers as much as I do, that's why.

Chapter Seven

The Maverick

He came to me through the printing company in Chapter One. That's how it works in my world. You help one business, you do decent work, and somebody picks up the phone and says "you should talk to my accountant, he might be able to help."

From the outside, the business looked like it was doing well. Large format printing, the kind of operation that produces banners, signage, exhibition displays. There was a workshop, there was equipment, there were customers. It had the appearance of a business that was ticking along nicely.

The appearance was a lie. Not a deliberate one. But the reality underneath the activity was that the business was, at best, treading water. And when you looked more carefully at the debts, the obligations, and the almost complete absence of reliable financial information, it was a ticking timebomb.

The director had bought the business from the previous owner not long before I was introduced. He was a friendly man, enthusiastic,

decent. He had a family. He had energy. He had, above all, the instincts of a natural salesman, and a good one at that.

His gift wasn't finance. The problem is what happens when that gap meets a leveraged acquisition with no financial reporting.

Here is how he'd bought the business. The purchase price was structured so that the previous owner would be paid out of the company's future revenues. Which meant that from day one, before the company had paid a single supplier or covered a single overhead, it was already carrying the cost of its own acquisition.

The business woke up every morning already in debt to itself. Every pound it earned had to service the buyout before it could do anything else. The cash gap was engineered into the purchase agreement.

And nobody was looking at the numbers carefully. The financial reporting was poor. The director didn't know his margins. He didn't know how much volume he needed each month to cover his fixed costs, let alone the buyout payments on top. He was flying on instinct, on sales ability, on the energy that had made him successful in every room he'd ever walked into.

But instinct doesn't pay the bills.

I spent months trying to build a picture of where the business actually stood. What emerged was a business that had been losing money since before he bought it, that had taken on significant debt to fund the acquisition, and that was generating just enough revenue to give the impression of viability while quietly sinking.

When the picture was clear enough to be honest about, I gave him my recommendation. Close the business.

He didn't want to hear it. Nobody wants to hear that the business they've staked their reputation and their family's security on is beyond saving.

But the numbers were the numbers. The debts were too large, the margins were too thin, the buyout obligation was too heavy, and the financial controls were too weak to build on.

He listened. He nodded. And then he went out and borrowed more money.

Not from me. Not with my advice. Independently. He found a lender, made his case with all the conviction that made him a brilliant salesman, and secured additional funding that he believed would solve the problem. Because that's what it felt like to him. A cash problem, and the solution to a cash problem is more cash. It's like pouring water into a bucket with a hole in the bottom and concluding that you need a bigger hose.

Twice he went off and found more money without consulting me. Twice the money disappeared into the same hole. The debts grew. The hole got deeper.

Eventually I stepped back. Not because I stopped caring, but because my advice was not being followed and my continued involve-

ment was giving the appearance of professional oversight to decisions I had not endorsed. That's a line you've to draw sometimes.

The business closed.

And then something happened that I think about more often than the business itself.

He became unwell. Depression. I did not speak to him during this time. I spoke to his wife. He had, from what I could gather, shut himself away.

I want to be careful here because this is a man's life, not a case study. But I include it because it's true, and because it's the part of business failure that almost never makes it into business books. Business failure isn't just a financial event. It lands on your health, your relationships, your sense of who you are. For many SME owners, the business is them. When it goes, something in them goes too. At least for a while.

I still see him on social media. He rebuilt. Different business, same industry, clean slate. And from everything I can observe, he's in a much, much better place. Happier. Lighter. The energy is back.

Not every lesson has to cost this much. If someone had sat him down before the acquisition and shown him what the numbers actually meant, the story might have been completely different.

Last I heard, the new business was doing well. I hope someone is looking at the numbers for him this time.

Chapter Eight

The Agency

This one isn't dramatic. There's no fraud. No global financial crisis. No moment where the world shifts and the ground opens up. This is the quiet version. The common version. The version that, if you're running a small service business right now, you might recognise so completely that it makes you slightly uncomfortable.

She ran a design agency. Eight people, a nice office in a market town, a client list that any small creative business would be proud of. Branding, websites, marketing campaigns, the kind of work that makes other businesses look better than they did before. She was good at it. Her team was good at it. The clients kept coming back, which in the creative industries is the only review that matters.

When I started working with her, the business was turning over about six hundred thousand a year. Profitable. Genuinely profitable. The kind of business that her accountant would present a set of annual accounts for and say, quite rightly, well done, another good year.

And every single month she was terrified about making payroll.

Not because the business was failing. Because the business was funding everybody else's cash flow except its own.

Her three biggest clients were large companies. Household names, or close to it. The kind of logos on your website that make other prospects think you must be doing something right. She'd won them over years, through excellent work and the sort of quiet, reliable professionalism that large companies say they value in their suppliers.

They paid on sixty-day terms. All three of them. Non-negotiable, they said. Standard company policy, they said. And she had accepted those terms without question when she won the work, because she was a designer, not a finance person, and because saying yes to a big client felt considerably easier than saying "actually, could we discuss that?"

So here is what her month looked like. Her team worked through the month, producing the work. She invoiced at the end of the month, because that's when she had always invoiced. The clients received the invoices and put them into their payment systems, which ran on sixty-day cycles. Which meant that work done in January was invoiced in early February and paid, if she was lucky, in early April. If she wasn't lucky, which was more often than the sixty-day terms suggested, it arrived in late April or May.

Meanwhile, her staff wanted paying at the end of January. Her rent was due at the end of January. Her software subscriptions, her insurance, her utilities, all due in January and every month after. The cash to fund the work went out immediately. The cash to replace it

arrived three months later. Every single month, the gap opened. Every single month, she bridged it with the overdraft.

The overdraft had become so permanent that she'd stopped thinking of it as borrowing. It was just the way the business operated. Drawn to the limit in the first week of every month, slowly recovering as invoices trickled in, never quite returning to zero before the next month's costs pulled it back down again. She was paying interest every single day on money that was, by rights, already hers. It just hadn't arrived yet.

When I sat down with her and showed her the numbers, the thing that shocked her wasn't the overdraft interest, though that was bad enough. It was the debtor days. Seventy-eight. Her clients were taking, on average, seventy-eight days to pay her. Not sixty. Seventy-eight. Because sixty-day terms plus a week to process the invoice plus a week of whatever delay the accounts department felt like adding that month equals seventy-eight days of her cash sitting in somebody else's bank account.

I asked her if she'd ever had the payment conversation with any of these clients. She looked at me as though I'd suggested she set fire to her own office. "I can't ask them to pay faster. They'll take the work somewhere else."

That fear is so common among SME owners that I could set my watch by it. The terror that asking to be paid for your work, on reasonable terms, in a reasonable timeframe, will somehow cause your best clients to leave you. It almost never happens. What happens far more often is that the client, who has forty other suppliers and has never

once been asked to discuss payment terms by any of them, simply says "fine" and adjusts the schedule.

We didn't change her clients. We didn't change her team. We didn't change her product or her market or her pricing. We changed three things. She started invoicing on the day the work was delivered, not at the end of the month. She had the payment conversation with every client and moved two of the three onto thirty-day terms. And she introduced a deposit structure for new projects so that the labour cost was funded before the work began.

Within four months her debtor days had dropped from seventy-eight to thirty-one. The overdraft, which had been permanently drawn for as long as she could remember, cleared. Not reduced. Cleared. To zero. For the first time in years, the business had cash in the bank that was actually its own.

She cried. I'm not embellishing that for dramatic effect. She sat in my office and cried, because the weight of years of anxiety about making payroll, of checking the bank balance every morning with her stomach in a knot, of lying awake wondering whether this would be the month the overdraft wasn't enough, had finally lifted. And the thing that had lifted it wasn't a new client, or a new product, or a stroke of luck. It was a conversation she could have had five years ago if somebody had told her it was an option.

She's still my client. The business is still profitable, as it always was. The difference is that now it feels profitable. The cash is where it should be, in her account, not in somebody else's.

Nothing had changed except the gap.

Chapter Nine

The Thread

A printing company with machines it couldn't afford to keep idle. A mortgage business with a cash cushion that had been stolen before the crisis arrived. A large format printer bought blind and borrowed into the ground. And a design agency that was profitable every single year and still couldn't make payroll without an overdraft.

Four industries. Four different sets of people. Four completely different causes.

And one killer.

The distance that widens when your costs are fixed and your revenue isn't. The space that becomes fatal when your reserves have been emptied by fraud, or by debt, or by decisions made without understanding the numbers. The gap that doesn't care how good your product is, how experienced your team is, how long you've been trading, or how full your pipeline looks on a Monday morning. And

the quiet, everyday version of the same gap that costs you money every single month even when nobody notices.

I've been sitting across tables from business owners for decades now, and the thing that still strikes me, every single time, is how different these businesses look from the outside and how identical they look from the inside. The details change. The industry changes. The personalities change. But the mechanics of how a business runs out of cash are remarkably, almost boringly, consistent.

Somebody spends money before somebody else pays them. The gap between those two events is either managed or it's not. And when it's not, everything else, the talent, the product, the customers, the reputation, the years of hard work, all of it becomes irrelevant. You can't pay wages with reputation. You can't cover rent with a pipeline. You can't service debt with optimism.

Cash is the only thing that counts. Not profit, not revenue, not projected income, not the deal that's almost certainly going to close next month. Cash. In the bank. Available. Now.

That is the Cash Gap. And if you've read these four stories and recognised something, even a flicker of something, in your own business, then the rest of this book is for you.

Because here is the part I haven't told you yet. Every single one of these situations was, in principle, avoidable. Not easy to avoid, not painless to avoid, but avoidable. The printing company's cost structure could have been challenged earlier. The mortgage company's reserves could have been protected. The maverick could have under-

stood his margins before he signed the purchase agreement. And the agency could have had one conversation about payment terms five years before I arrived.

None of them understood their cash gap early enough. None of them had someone sit them down and say, in plain English, here is where you stand, here is what's coming, and here is what you need to do about it.

That's what the rest of this book does. No jargon. No theory delivered from a height. Just the understanding and the early warning system that might have changed every one of these stories.

Right. Let's get to work.

Chapter Ten

PART TWO: UNDERSTANDING YOUR CASH GAP

Chapter Eleven

Profit is Not Cash

This is the chapter where I ruin your day. Sorry about that. But somebody has to do it, and your accountant clearly hasn't, so here we are.

Profit is not cash.

I'll say that again because the first time I tell a business owner this they tend to look at me the way a deer looks at an oncoming lorry. "I heard the words, I understood them individually, but the sentence they've formed doesn't make any sense to me and I'd quite like you to stop talking now."

Profit. Is not. Cash.

It is the single most dangerous misunderstanding in small business. More dangerous than underpricing. More dangerous than hiring badly. More dangerous than that time you let your nephew build the company website. Because all of those mistakes are visible. They

announce themselves. They hurt in obvious, identifiable ways that you can point to and say "right, that was stupid, let's not do that again."

The profit-cash confusion is different. It's silent. It's invisible. And it'll kill your business while your accountant is telling you what a great year you've had.

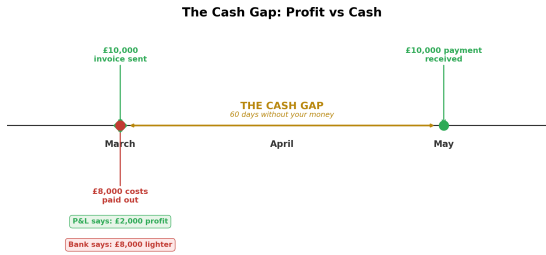
Let me show you how.

Say you run a business that provides a service to other businesses. Consultancy, design, logistics, printing, whatever it is. In March, you do a piece of work for a client and you invoice them ten thousand pounds. Your accountant, who's diligent and competent and charges you a fee that you consider slightly too high but that's another conversation, records that ten thousand pounds as revenue in March. It goes into your profit and loss account. It contributes to your margin. If your costs for March were eight thousand pounds, your profit and loss will show a two thousand pound profit. Marvellous. Well done you. Pop the kettle on.

Except the client doesn't pay in March. They pay on thirty-day terms, which in the real world means they pay in sixty days, which in the really real world means they pay when someone in their accounts department gets around to it, which might be June. Or July. Or, if they're a particularly large company with a particularly indifferent approach to paying their suppliers, possibly never.

So here you are. March. Profitable. Two thousand pounds to the good according to the bit of paper your accountant produced. And your bank account? Your bank account hasn't received the ten thou-

sand pounds. Your bank account has, however, paid out the eight thousand pounds in costs, because your staff want their wages in the month they actually worked, not in the month your client eventually decides to acknowledge your invoice. Funny, that.



Your profit and loss says you made two thousand. Your bank account says you're eight thousand lighter. Both of these things are true at the same time. Welcome to accrual accounting, the system that records revenue when it's earned rather than when it's received, which makes perfect sense to accountants and almost no sense to anyone who's to actually run a business with real bills arriving on real dates.

Now I can hear you thinking "well that's just timing isn't it, the money comes eventually." And you're right. It's timing. But timing is everything. Timing is the entire game. Because while you're waiting for that ten thousand to arrive, April is happening. April has wages in it. April has rent in it. April has VAT in it. April doesn't care that you're profitable. April cares about whether you've actual money in an actual bank account on the actual day the payments are due.

If you don't, you're in trouble. Not theoretical trouble. Not "we should probably keep an

eye on that" trouble. Real, immediate, your-supplier-is-on-the-phone-and-they-are-not-calling-to-say-well-done trouble.

This is the Cash Gap in its purest form. The gap between recording the income and receiving the income. Between earning the money and having the money. Between being profitable and being solvent.

A business can be profitable and insolvent at the same time. Read that sentence again. I know it sounds like a contradiction. It's not. It is the lived reality of thousands of SMEs at any given moment, and most of them have no idea it's happening to them because nobody has ever explained the difference.

And this, if I'm being frank, is where I start to get mildly irritated with my own profession.

Most accountants prepare a set of annual accounts for their SME clients. They do this competently. They file it with Companies House. They calculate the tax. They send an invoice that the client pays, somewhat ironically, about sixty days late. And then they move on to the next client. What they don't do, in the vast majority of cases, is sit down with the business owner and say "here is what these numbers actually mean for the cash in your business." They don't explain accruals. They don't explain the difference between the profit and loss and the bank balance. They don't point out that the healthy profit figure on page three is meaningless if the cash to support it's sitting in somebody else's bank account for the next three months.

Some accountants do this, to be fair. The good ones. But even some of those take it for granted that their clients understand these concepts already. They assume that because the business owner has been running a company for five years, or ten years, or twenty years, they must have picked this up somewhere along the way. They haven't. I promise you, they haven't. I've been doing this for decades and the majority of business owners I meet, experienced, intelligent, hardworking people running real businesses with real employees, don't understand that profit and cash are two different things. They see a profit on their accounts and they assume the money is there. When it's not, they're confused. When I explain why, they get the rabbit-in-headlights look. And when the penny finally drops, when they realise that their profitable business might actually be broke, you can see something shift behind their eyes. A mixture of understanding and quiet horror.

I've watched that penny drop too many times to count. It never gets easier to witness.

So let me make this as simple as I possibly can, because if you take only one thing from this entire book, let it be this.

Your profit and loss account tells you whether your business is earning more than it's spending over a period of time. It's a useful document. It is not a bank statement.

Your bank balance tells you how much cash you actually have available right now. Today. This moment. It doesn't care what your accountant thinks you earned last quarter. It only knows what's arrived and what's left.

The gap between those two numbers is your Cash Gap. And the size of that gap, how wide it is and how long it lasts, determines whether your business survives the time between doing the work and getting paid for it.

Every business has this gap. Every single one. If you sell to other businesses on credit terms, which most SMEs do, there's always a period of time between you spending money to deliver the work and your customer putting money into your account. During that period, you're funding their business with your cash. You are, in effect, an unpaid, unacknowledged, entirely voluntary bank. Providing interest-free loans to your customers. With no security. And no guarantee they'll pay on time, or at all.

When you put it like that, it sounds insane. That's because it IS mildly insane. But it's also how the entire economy works, and unless you're in the enviable position of demanding payment upfront for everything, which most SMEs aren't, then you're playing this game whether you signed up for it or not.

The question isn't whether the gap exists. It does. The question is whether you're managing it or whether it's managing you.

If you've never calculated how many days on average it takes your customers to pay you, it's managing you. If the words "debtor days" and "creditor days" mean nothing to you, or if you assume they're someone else's problem, it's managing you. And if it's managing you, you're one bad month, one slow payer, one unexpected cost away from discovering what the printing company, the mortgage company, the maverick and the agency all discovered.

That profitability and survival aren't the same thing.

The good news, and I appreciate you've waited an entire chapter for good news so well done for your patience, is that this is fixable. Not complicated to fix. Not expensive to fix. Just something you need to understand and then build a very simple system around.

The next three chapters will give you that understanding. We're going to look at the three levers that control your Cash Gap, examine why fixed costs are only safe when your volume is guaranteed, and calculate exactly how much runway your business actually has.

None of it requires a finance degree. All of it requires you to stop pretending that profit and cash are the same thing.

Consider the pretending officially over.

Chapter Twelve

The Three Levers

Every working capital problem in the history of business, every single one, from the corner shop that ran out of cash in 1987 to the design agency that was bleeding cash last month, comes down to three things.

What you're owed. What you owe. And what's sitting in between.

That is it. Three levers. If you understand these three things and manage them properly, you can control your Cash Gap. If you don't understand them, or worse, if you've never even thought about them, you're flying blind. And as the maverick in Chapter Three could tell you, flying blind in a leveraged business is a hobby with a very short shelf life.

Let me walk you through each one.

The first lever is what you're owed. In accounting language this is called receivables, or debtors, or trade debtors, or accounts receivable, because accountants have apparently decided that one perfectly good

word for a simple concept is never enough when four will do. I'll call it what it is. Money that other people owe you.

Every time you do a piece of work for a customer, send them an invoice, and wait for them to pay, you've created a receivable. You've given someone your product or your service and they've given you, in return, a piece of paper that says they'll pay you at some point in the future. You are, as we discussed in the last chapter, operating as their unpaid bank.

The key question is: how long do you wait?

This is measured in something called debtor days. It sounds technical. It's not. Debtor days is simply the average number of days it takes your customers to pay you after you've sent the invoice. If your invoices go out on the first of the month and your customers typically pay on the sixtieth day, your debtor days are sixty. If they pay on the thirtieth day, your debtor days are thirty. If they pay when they feel like it, which in my experience is the most common arrangement in SME land, your debtor days are whatever number makes you slightly nauseous when you calculate it for the first time.

To work it out, take the total amount your customers owe you right now, divide it by your annual revenue, and multiply by 365. The number that comes out is how many days, on average, your cash is sitting in someone else's bank account instead of yours.

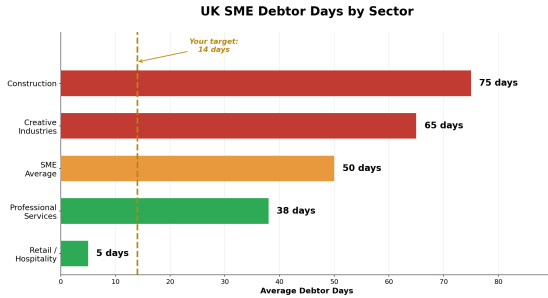
Most SME owners have never calculated this number. When they do, the reaction tends to range from mild surprise to quiet fury, depending on temperament.

The second lever is what you owe. Payables. Creditors. The suppliers, landlords, HMRC, staff and everybody else who's expecting money from you. This is the mirror image of the first lever. Just as your customers are taking time to pay you, you're taking time to pay other people. And the length of time you take is measured in creditor days. Same calculation, different direction. Take what you owe suppliers right now, divide by your annual costs, multiply by 365.

Now here is where it gets interesting, and by interesting I mean where the Cash Gap either opens or closes depending on which number is bigger.

If your debtor days are sixty and your creditor days are thirty, you've got a problem. Your customers are taking sixty days to pay you, but your suppliers want their money in thirty. That means for thirty days of every cycle, you're funding the difference out of your own pocket. You're paying out before you're getting paid. Cash is leaving before cash is arriving. The gap is open, it's thirty days wide, and you need enough cash in reserve to bridge it or your business is in trouble.

If your debtor days are thirty and your creditor days are sixty, you're in a much happier position. Your customers are paying you before your suppliers need paying. Cash arrives before cash leaves. The gap is closed, or rather it's been reversed in your favour. You are, temporarily, holding other people's money. This is how supermarkets work, incidentally. They sell you a tin of beans today and pay the bean manufacturer in ninety days. That gap isn't an accident. It's a business model. It's also why supermarkets can fund enormous operations on what appear to be wafer-thin margins. But I digress.



The point is simple. The relationship between how fast you get paid and how fast you have to pay out determines the size of your Cash Gap. And you can pull both levers. You can work to get paid faster, which we'll cover in Chapter Ten. You can negotiate to pay out slower, which we'll cover in Chapter Eleven. Or, ideally, you can do both at the same time, which is when the Cash Gap starts to close and the business starts to breathe.

Let me show you how this works with a real example. Remember the printing company from Chapter One? Their new business outsources all the printing to production companies. Those production companies need paying within thirty days. Meanwhile the printing company's own customers pay on sixty-day terms, sometimes longer.

Say the printing company wins a job worth five thousand pounds. On day one, they commission the outsourced printer, who invoices them three thousand pounds on thirty-day terms. On day one they also send their own invoice to the customer for five thousand pounds on sixty-day terms. On day thirty, they pay the printer three thousand. On day sixty, the customer pays them five thousand. The profit's two

thousand, which is healthy. But for thirty days, between day thirty and day sixty, they're three thousand pounds out of pocket. Now multiply that by ten jobs running simultaneously and the business needs thirty thousand pounds of working capital just to fund the gap. That thirty thousand isn't profit. It's not an investment. It's the cost of the gap.

For context, average SME debtor days across the UK sit at roughly forty-five to fifty-five days. Construction and creative industries tend to be considerably worse, often sixty to ninety. Professional services tend to be tighter, around thirty to forty-five. If you don't know your number, calculate it today. The formula is above. It will take you five minutes and it may be the most important five minutes you spend this month.

And here is something that catches almost everyone off guard. That gap doesn't shrink when the business grows. It gets bigger. More jobs mean more cash going out to suppliers before more cash comes back from customers. Growth, counterintuitively, can make the Cash Gap worse, not better. It's one of the most common ways that successful businesses get into trouble. They win more work, they celebrate, and then three months later they're wondering why the bank account is emptier than it was when they were smaller. If you're planning to grow, you need to plan for the gap to grow with you. This isn't optional. It's arithmetic.

Which brings us to the third lever. Stock. Inventory. The physical stuff sitting in your warehouse, on your shelves, in your workshop, in the back of that van that nobody has checked since February.

Now I should be honest here. Most of my clients are service businesses. They don't carry stock. If you're a consultant, a designer, a solicitor or a software company, this lever may not apply to you directly. Feel free to skip ahead, or stay for the general education. I will not be offended either way, though I'll know.

For those of you who do hold stock, listen carefully, because this is the lever that confuses people most. And understandably so, because stock is a strange beast. It looks like an asset. It sits on your balance sheet as an asset. Your accountant will cheerfully tell you it's an asset. But from a cash perspective, stock is money you've already spent that hasn't yet turned back into revenue. It is cash that has been converted into physical form and is now sitting on a shelf, doing absolutely nothing productive, waiting to be sold.

Every day that stock sits unsold is a day your cash is locked up. A day it can't pay wages. A day it can't cover rent. A day it can't bridge the gap between your debtor days and your creditor days. Stock is frozen cash. And like anything frozen, it's only useful when it thaws.

The question for product businesses is: how much of your cash is frozen at any given time? And can you thaw some of it without damaging your ability to trade? We'll get into the specifics in Chapter Twelve, but for now the principle is this. Every pound tied up in stock is a pound that's not available to run the business. Carry too much and you're funding a warehouse instead of funding your operations. Carry too little and you can't fulfil orders. The sweet spot, as with most things in business, is somewhere in the middle. Unlike most things in business, almost nobody has actually calculated where their middle is.

So there they are. Your three levers.

What you're owed, and how long it takes to collect. What you owe, and how long you can take to pay. What's sitting in stock, and how long before it turns back into cash.

Pull them in the right direction and your Cash Gap narrows. Ignore them and it widens. Let them drift without measurement or management and you're trusting the most important aspect of your business, its ability to actually survive, to luck.

Luck, in my experience, has a very poor track record as a financial strategy.

The levers don't operate in isolation, of course. They push and pull against each other. Reducing your debtor days is wonderful, but if your creditor days shorten at the same time because a supplier changes their terms, the net effect might be zero. Freeing up cash from stock is brilliant, but if that cash immediately gets absorbed by a customer who takes ninety days to pay, you haven't gained anything.

Working capital management isn't about pulling one lever once. It's about understanding how all three interact, monitoring them continuously, and making small adjustments before small problems become large ones. It is, in short, a system. And building that system is what the rest of this book is about.

But first, we need to talk about fixed costs. Because as the printing company discovered the first time around, the three levers in the world won't save you if your cost structure is trying to kill you.

Chapter Thirteen

Fixed Costs Are Only Safe When Volume Is Guaranteed

If you read Chapter One and thought "well that's very sad about the printing company but it would never happen to me because I don't own any enormous printing presses," I've some unfortunate news. You don't need enormous printing presses. You just need a lease, a hire purchase agreement, a salaried employee, an office you can't get out of, or any other financial commitment that arrives on the same date for the same amount regardless of whether you had a good month or a catastrophic one.

In other words, you need fixed costs. And unless you're running your business from a park bench with no staff and no overheads,

which sounds peaceful but commercially impractical, you definitely have them.

Fixed costs are the part of your expenditure that doesn't change with your level of activity. Your rent is a fixed cost. It's the same whether you had your best month ever or whether you spent the entire month staring at the wall questioning your life choices. Your lease payments on equipment or vehicles are fixed costs. Your permanent staff salaries are fixed costs. Your insurance, your software subscriptions, your phone contract, that gym membership you keep meaning to cancel, all fixed. They don't care about your revenue. They don't flex with your workload. They simply arrive, like clockwork, and expect to be paid.

Variable costs, by contrast, are the ones that move with your activity. If you sell more, they go up. If you sell less, they come down. Raw materials are variable. Subcontractor costs are variable. Shipping costs, sales commissions, production supplies, all variable. They breathe with the business. When things are good, they're higher. When things are quiet, they're lower. They are, in financial terms, your friends. Not because they are cheap, but because they are flexible.

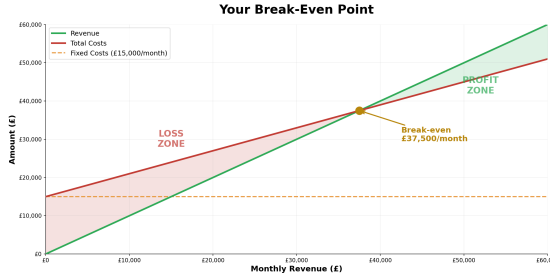
The printing company in Chapter One learned this lesson the hard way. Their fixed lease payments were the same every month. When the work was flowing, the margins were healthy. When the work slowed down, the margins collapsed. The new business replaced fixed production costs with variable ones, and it was profitable from day one. Not because the market had changed. Because the relationship between costs and revenue had finally been made flexible.

This brings us to something every business owner should know but most don't. Your break-even point. And if you don't know yours, you're driving at night with the headlights off.

Your break-even point is the level of revenue at which your business covers all of its costs, fixed and variable, and makes neither a profit nor a loss. Below that point, you're losing money. Above it, you're making money. On it, you're working very hard for absolutely nothing, which is a lifestyle choice I wouldn't personally recommend but each to their own.

Calculating it is not complicated. Add up all your fixed costs for a month. Rent, salaries, lease payments, insurance, subscriptions, everything that gets paid regardless of activity. Let's say that number is fifteen thousand pounds. Now work out your gross margin percentage, which is the proportion of each pound of revenue left over after you've paid the variable costs of delivering the work. If you charge a customer a thousand pounds for a job and the variable costs of delivering it are six hundred, your gross margin is four hundred, or forty percent.

Divide your fixed costs by your gross margin percentage. Fifteen thousand divided by forty percent gives you thirty-seven thousand five hundred. That's your break-even revenue. You need thirty-seven and a half thousand pounds of revenue every single month before you earn a single penny of profit. Below that, you're subsidising the business from reserves you may or may not have. Above that, you're finally making money.



Let me scale that down for a smaller business, because not everybody reading this has fifteen thousand in monthly fixed costs. A sole trader or micro business with three thousand a month in fixed costs, perhaps a small office, some software, one part-time employee, and a sixty percent gross margin needs five thousand a month in revenue to break even. That's roughly sixty thousand a year. Below that, every month costs them money. Above that, they're making a living. The maths is identical regardless of size. The principle doesn't change just because the numbers are smaller. A sole trader who doesn't know their break-even is in exactly the same danger as a twenty-person company. They just have less time before the cash runs out.

Now here is the question that keeps me employed. How many months out of the last twelve did your business hit that number?

If the answer is all twelve, congratulations, your cost structure is working for you. If the answer is eight or nine, you have a seasonal cash gap that needs managing. If the answer is four or five, you have a structural problem that no amount of optimism is going to fix. And if you don't know the answer because you've never calculated your break-even point, then you're in the same position as the maverick in Chapter Three, who bought a business without understanding his

margins and kept borrowing money to cover a deficit he couldn't even see.

I appreciate this is starting to sound like maths homework. Bear with me. Because understanding your break-even point does something psychologically as well as financially. It gives you a number. A real, specific, tangible number that tells you exactly what your business needs to survive each month. No ambiguity. No guesswork. No vague sense that things are probably fine because the phone is still ringing.

A number. Know it. Watch it. Respect it.

The reason fixed costs are so dangerous to SMEs specifically is scale. A large company can absorb a bad month. An SME with two hundred thousand in revenue can't. A single bad month can consume all the margin from a good one. Two bad months in a row can put you in real difficulty. Three can finish you.

And bad months aren't rare events. They're a feature of SME life. Customers delay orders. Projects slip. A big client changes their mind or goes quiet or, most annoyingly, asks you to "hold off for a couple of weeks" which in client language means sometime between next month and the heat death of the universe. Meanwhile your fixed costs continue their serene, uninterrupted march across your bank statement.

This is why I want you to do something that might feel uncomfortable. I want you to audit your fixed costs. All of them. Not next quarter. Not when things settle down. Now.

Get your bank statements for the last three months. Go through every recurring payment. Every direct debit, every standing order, every subscription, every lease, every salary. Write them down. Add them up. Look at the total.

That total is the minimum amount of cash your business needs to generate every single month just to keep the lights on. Before profit. Before growth. Before that new piece of equipment you've been eyeing. Before anything. That's the floor. And if your revenue x gross margin is regularly close to that floor, or occasionally below it, you don't have a business that's going through a rough patch. You have a business whose cost structure is trying to kill it.

Now look at each line and ask yourself three questions. First, is this essential? Not "is this nice to have" or "have we always had this." Essential. Would the business materially suffer without it? You'll be surprised how many recurring costs survive year after year on the basis of inertia rather than value. The software you subscribed to in 2019 and nobody uses. The insurance policy that hasn't been reviewed since the business was half its current size. The office space that was perfect when you'd eight staff and is now housing four people and a lot of empty desks.

Second, can this be made variable? This is the printing company question. Is there a version of this cost that moves with your activity instead of sitting there permanently? Could you use freelancers instead of permanent staff for fluctuating workloads? Could you move to a serviced office where the cost scales with your headcount? Could you lease equipment on a pay-per-use basis instead of a fixed monthly

commitment? Not everything can be made variable, but more can than most business owners realise.

Third, if this cost is fixed and essential, what volume of business do you need to cover it? Every fixed cost you carry raises the bar your revenue must clear. Every one you remove or convert to variable lowers it. The lower that bar, the more resilient your business becomes when the inevitable bad month arrives.

I am not telling you to strip your business down to bare metal. Some fixed costs are the reason you're competitive. Some are the reason your team is loyal. Some are the reason your customers choose you over the cheaper alternative. I'm telling you to know what they are, know what they cost, and know exactly how much revenue you need to justify them.

Because volume is never guaranteed. That's the lesson from both printing companies. It's the lesson from the mortgage company, whose revenue vanished overnight when the products left the market. It's the lesson from the agency, whose clients were taking nearly eighty days to pay while she funded the gap on an overdraft. In every one of those stories, the fixed costs were the last thing to adjust and the first thing to cause damage.

The businesses that survive cash gaps are the ones with cost structures that can flex. Not eliminate costs, not starve the business, but flex. Bend when revenue bends. Contract when revenue contracts. Give the business room to breathe when the world does something unexpected, which, if you've been paying any attention at all to the last few years, is roughly every other Tuesday.

Your fixed costs aren't the enemy. But they're not your friends either. They're obligations. Immovable, unfeeling, contractual obligations that don't care whether you'd a good month or a bad one.

Know what they cost you. Know what volume covers them. And if the gap between the two is too narrow for comfort, do something about it before the next bad month makes the decision for you.

Chapter Fourteen

Your Cash Runway

I'm going to ask you a question now. It's a simple question. Six words. And in my experience it produces one of two reactions. Either you know the answer immediately, in which case you're already ahead of most SME owners I've ever met, or you stare at me blankly, which is the more common response, and then we've some work to do.

How long can your business survive?

Not how long do you think it can survive. Not how long do you hope it can survive. Not how long could it probably survive assuming that big invoice gets paid on time and the pipeline comes through and nothing unexpected happens, which is less a financial forecast and more like a letter to Father Christmas.

How long, in weeks or months, could your business keep paying its bills if no new revenue arrived starting today?

That number is your cash runway. And it is, without exaggeration, the single most important number in your business that you're probably not tracking.

Most SME owners know their revenue, roughly. They know their profit, roughly. They know whether they had a good month or a bad month, because they checked the bank balance this morning and either felt relieved or slightly ill. But the specific question of how many weeks or months of survival they've in reserve? Blank stare. Uncomfortable silence.

Let me show you how to calculate it, because once you've this number you'll never be able to un-know it, and that's entirely the point.

There are two versions. I give both to my clients because they tell you different things and you need both to understand your real position.

The first is your worst-case runway. This is the brutal one. Take the cash you've in the bank right now. Not the money you're owed. Not the invoices that are outstanding. Not the deal that's about to close. The actual cash sitting in your actual bank account at this actual moment. Divide that by your monthly cash burn, which is the total amount that leaves your account every month in fixed costs, salaries, rent, loan repayments, direct debits, all of it. The number you get is how many months your business can survive if every customer simultaneously decides to stop paying you and no new revenue arrives at all.

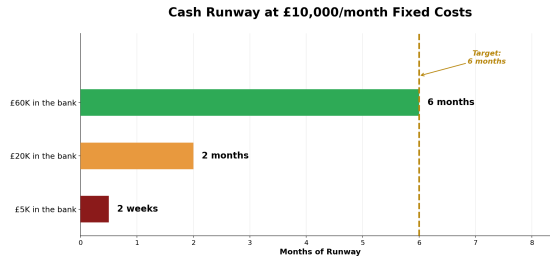
Dramatic? Yes. Unlikely? Probably. But ask the mortgage company how unlikely it felt when every product disappeared from the market overnight. Ask the printing company how unlikely it felt when Covid emptied the order book in a matter of weeks. Worst-case scenarios are only impossible right up until the moment they happen. After that they're just Tuesday.

If your worst-case runway is six months, you're in a strong position. You have time to react, to adjust, to make decisions from a position of relative calm rather than blind panic. If it's three months, you have a buffer but it's thinner than you'd like and one serious shock could consume it. If it's one month, you're living on a knife edge whether you realise it or not. Everything has to go right every single month for your business to survive, and that's not a strategy. That's hope dressed up as a business plan.

And if it's two or three weeks, which is more common than anyone in the SME world wants to admit, then you're already in the Cash Gap. You're one late payment, one lost client, one unexpected bill away from a conversation with your bank that you don't want to have.

Let me put some real numbers on this so you can see yourself in it. If your monthly fixed costs are ten thousand pounds and you have five thousand in the bank, your worst-case runway is two weeks. If you have twenty thousand, it's two months. If you have sixty thousand, it's six months. Same business. Same costs. Same product. The only difference is the number in the bank account that nobody is spending. Now consider this: a business with ten thousand a month in fixed costs needs to set aside just five thousand a month for twelve months to build a six-month reserve. That's not a fantasy figure. It's a deci-

sion. And if five thousand a month feels impossible, start with two thousand. Start with one thousand. Start with something, because a business with one month of runway is in a fundamentally different position from a business with two weeks, and the distance between them isn't large. It's just deliberate.



The second version is your best-case runway. This factors in the money you're reasonably expecting to receive. Take your current cash balance, add the invoices that are outstanding from customers who you genuinely believe will pay within their normal terms, and then divide the total by your monthly cash burn. This gives you a more optimistic picture, one that accounts for the fact that revenue doesn't actually stop entirely in most scenarios.

The key word in that paragraph is "genuinely." Not hopefully. Not optimistically. Not "they said they'd pay by Friday and it's now the following Wednesday but I'm sure it's just an admin thing." Genuinely. Based on their track record. Based on their history of paying you. Based on reality rather than the version of reality you prefer.

Your true runway sits somewhere between these two numbers. The worst case tells you how much trouble you're in if everything goes wrong at once. The best case tells you how much breathing room

you've if things continue roughly as they are. Together they give you something invaluable. A range. A realistic assessment of how much time your business has before the cash runs out.

Six months. That's what I aim for with my clients. Six months of worst-case runway. Enough to survive a serious shock, fund a restructure if needed, make difficult decisions without the panic of imminent collapse. Six months means you can lose your biggest client and still have time to replace them. Six months means a market disruption is a problem to be managed, not a death sentence. Six months means you sleep better, make better decisions, and negotiate from strength rather than desperation.

Is six months easy to achieve? No. Especially not if you're starting from two weeks, which many SMEs are. But the competing priorities, the new hire, the new office, the new piece of equipment, none of them matter if the business doesn't survive long enough to benefit from them.

Building your runway isn't glamorous. Nobody has ever posted on LinkedIn about the thrill of accumulating six months of operating costs in a reserve account. It doesn't make for exciting conversation at networking events. "What have you been up to?" "Building my cash runway." "Right. Lovely. I'm going to go and talk to someone else now." I understand the appeal of more visible investments. But visible investments in a business with a two-week runway is like buying a roof rack for a car with no engine. Impressive looking. Not going anywhere.

Here is what I want you to do. Today, not next week, not when you've a spare moment, today. Open your bank account. Write down

the balance. Now open your accounting software or your spreadsheet or the back of an envelope, whatever you use, and add up what leaves your account every month in fixed costs and essential overheads. Divide the first number by the second. That's your worst-case runway in months.

If the number makes you uncomfortable, good. Discomfort is the beginning of action. The mortgage company didn't have a cash cushion because it had been stolen. You don't have that excuse. If your runway is short, it's short because building it hasn't been a priority. It can become one today.

Now do the best-case version. Add the receivables you genuinely expect to collect within the next thirty days and divide the new total by the same monthly burn. Somewhere between those two numbers is your reality.

Write both numbers down. Stick them somewhere you'll see them. On your desk. On your phone. Because these two numbers, more than your revenue, more than your profit, more than your last twelve months of accounts, tell you the truth about how safe your business actually is.

Revenue tells you how much money is flowing through the business. Profit tells you how much of it you're keeping. Your cash runway tells you how long you've left if the flow stops.

Two of those three numbers get attention. The third one, the one that actually determines whether you survive, is the one most business owners have never calculated.

You've now calculated it. You can't un-know it. And that's exactly where I want you to be.

Part Two is done. You now understand the Cash Gap, the three levers that control it, what your fixed costs are really costing you, and how much runway you have before the gap becomes fatal.

Part Three is where we start closing it.

Chapter Fifteen

PART THREE: CLOSING THE GAP

Chapter Sixteen

Getting Paid Faster

There's a conversation that almost no SME owner has with a new client. It's not a difficult conversation. It's not confrontational. It doesn't require any particular courage or financial expertise. And yet it almost never happens, which is remarkable given that it's about the single most important aspect of any commercial relationship.

The conversation is about money. Specifically, about when and how you expect to be paid.

I know. Revolutionary stuff. You do work for someone, they pay you for it, and at some point before that exchange takes place you discuss the terms under which it'll happen. This should be as natural as discussing the scope of the work itself. It should be as unremarkable as agreeing a deadline or confirming a delivery address. And yet for the majority of SME owners I work with, the money conversation is the one they avoid, defer, mumble through, or skip entirely, apparently hoping that the universe will sort out the details on their behalf.

The universe, I regret to inform you, doesn't process invoices.

Let me be direct about this because it matters. If you're uncomfortable talking about money with your clients, your Cash Gap will always be wider than it needs to be. Not because your clients are dishonest. Not because they do not intend to pay. But because in the absence of a clear, upfront conversation about payment expectations, what fills the gap is ambiguity. And ambiguity, in accounts payable departments, translates directly into delay.

So the first thing I want you to do, before we talk about invoicing and chasing and payment terms, is to make a decision. From this point forward, every new client relationship begins with a conversation about how and when you get paid. Not at the end of the pitch. Not buried in the small print of a contract that nobody reads. At the beginning. As part of the terms of doing business together. Framed not as an awkward demand but as a professional standard. Something like: "We value our client relationships and we've found that the best way to protect them is to be completely transparent about our payment process from the start. Here is how it works."

Most clients will respect this. The ones who don't are telling you something valuable about what the next twelve months of chasing their invoices is going to look like.

Now. Let's talk about the invoice itself, because this is where an embarrassing number of SMEs trip over their own feet.

An invoice has one job. One. To get you paid. It is not a formality. It's not an administrative afterthought. It's a financial document that needs to contain every piece of information required for the person at

the other end to process payment without having to phone you, email you, or put your invoice at the bottom of a pile marked "incomplete, will deal with later, probably never."

That means your invoice must include a purchase order number if the client requires one. You'd be astonished how many invoices bounce around inside large organisations for weeks because the PO number is missing or wrong. It means the invoice must go to the right person, not just to your contact at the company, who may be a delight to work with but has absolutely no involvement in paying supplier invoices. It means the invoice must clearly state your payment terms, the amount, the description of work, and every other detail that the accounts payable department needs to press the button that puts money in your bank account.

Find out, before you send the first invoice, how your client's payment process works. Who receives invoices? What format? Do they require a PO number? When are their payment runs? This is not grovelling. This is intelligence.

Next. Invoice promptly. The day the work is done or the milestone is hit, the invoice goes out. Not the following week. Not the first week of the next month. Not when someone in your office gets around to it. The day it's earned.

I've lost count of the number of clients I've worked with who invoice in the first week of the new month for work completed in the previous month. Some invoice even later than that. Think about what that means in practice. You complete a piece of work on the fifth of March. You invoice on the seventh of April. Your client pays on thir-

ty-day terms from the invoice date, which means you receive payment in early May. You've just given your client a sixty-day interest-free loan because you couldn't be bothered to send the invoice on time. That's not their fault. That's yours. And it's free money you're handing to someone else's cash flow.

Every day between completing the work and sending the invoice is a day added to your Cash Gap. Every single one. If you take ten days to invoice and your client takes thirty days to pay, your effective debtor days are forty. Cut the invoicing delay to one day and your debtor days drop to thirty-one. That's nine days of cash flow recovered without changing your terms, without having a difficult conversation, without doing anything other than pressing send on the day the work is done.

Now let's talk about terms. Most SMEs default to thirty-day payment terms because that's what everyone else seems to do and nobody ever told them they could ask for something different. Here is me telling you. You can ask for something different.

Fourteen days. That's what I recommend for most SMEs. Not because it is aggressive, but because it is honest. You're a small business. You don't have the cash reserves of a multinational corporation. You can't afford to be your client's bank for a month when you could be their bank for two weeks instead. Fourteen-day terms, clearly stated on every invoice and discussed at the start of every client relationship, will reduce your debtor days significantly. Some clients will negotiate. Some will insist on thirty. But you'd be surprised how many simply accept fourteen days when it's presented confidently as your standard term.

You calculated your debtor days in Chapter Seven. If the number shocked you, this chapter is how you bring it down. If you're a B2B service business running above fifty days, you're lending your customers a significant amount of money every month for free. Above sixty, you're funding their cash flow at the direct expense of your own.

And while we're discussing terms, let's talk about deposits.

If you're a service business, deposits should be non-negotiable for any significant piece of work. My rule of thumb is that the deposit should cover, at minimum, the labour costs of the project. If you're committing staff time and expertise to a piece of work, the cash to fund that time should be in your account before the work begins. Not as a gesture of good faith. As a commercial requirement. Think about what that does to your Cash Gap. Without a deposit, you start spending money on day one and don't see any return until the final invoice is paid, which might be thirty, sixty or ninety days after the work is complete. With a deposit covering your labour costs, the most expensive part of delivering the work is already funded before you start. The gap shrinks. Your cash position improves. And you haven't asked for anything unreasonable. You've asked for the money to fund the work that you're about to do for them. That is commerce, not confrontation.

Now. The part everyone dreads. Chasing.

Here is the reframe that changes everything. Chasing invoices shouldn't be something that begins when a payment is overdue. It should be part of a process that starts before the invoice is even due.

A polite reminder a few days before the due date. Something simple. "Just a quick note to let you know that invoice 1234 is due on Friday. Please let us know if there are any queries." That's not chasing. That's professional courtesy. And it does something practical. It surfaces any problems before the due date, not after. If the invoice has gone to the wrong person, you find out now. If the PO number is wrong, you find out now. If the client has a query about the work, you find out now. Not three weeks later when you're wondering why the money hasn't arrived.

After the due date, regular follow-up. A statement showing what's outstanding. A phone call if the statement doesn't prompt action. And at every stage, the tone is the same. Professional, courteous, and completely unapologetic. You're not asking for a favour. You're asking for payment of a debt that's contractually owed to you under terms that were agreed at the start of the relationship.

If at any point the conversation becomes difficult, if a client is routinely late, if they're unresponsive, if they're making excuses, the question to ask yourself isn't "how do I chase harder" but "is there a problem I don't know about?" Sometimes late payment is a sign that the client is in financial difficulty themselves. Sometimes it's an administrative issue. Sometimes it's simply poor discipline. Finding out which one you're dealing with allows you to respond appropriately rather than sending increasingly frustrated emails into a void.

One more thing. Remove every possible barrier between your client and the act of paying you. Payment links on invoices so they can pay in two clicks. Bank details clearly displayed. Direct debit arrangements for recurring clients. The fewer steps between your client deciding to

pay and the money actually moving, the faster it moves. Every piece of friction, every extra click, every moment of confusion about how to pay, is a reason for your invoice to sit in a pile for another day. Make it so easy to pay you that not paying requires more effort than paying does.

And finally, the big client question. What happens when a client you value, a client who represents a significant portion of your revenue, insists on sixty or ninety-day terms and won't budge?

You've two choices. You can accept the terms and manage the Cash Gap they create. Or you can walk away from the client. Neither is a wrong answer and which one you choose depends on the maths.

If the client is profitable enough that you can afford to finance the gap, then finance it. Invoice finance, which we'll cover in Chapter Fifteen, allows you to borrow against outstanding invoices so you receive the cash immediately while the client takes their time. If the cost of financing still leaves you with a healthy margin on that client, the relationship is worth keeping. You're effectively paying a small fee to convert a sixty-day debtor into a one-day debtor. That's a legitimate business decision.

But if the financing cost eats the margin, or if the client's terms are so extreme that they create a cash gap your business can't sustain, then the relationship is costing you more than it's earning you. And a client who costs you money is not a client. It's a hobby. A very expensive, very stressful hobby that you should probably replace with something that actually pays.

Getting paid faster isn't about being aggressive. It is not about being difficult. It's about being professional, being clear, and being organised. Talk about money at the start. Invoice immediately. Set terms that reflect your reality. Take deposits. Chase before the due date. Remove friction. And if a client's terms don't work for your Cash Gap, either finance the difference or find a better client.

None of this is complicated. All of it is effective. And the cumulative impact of doing all of these things together, consistently, for every client, is a receivables process that shrinks your Cash Gap week by week until it's no longer the thing that keeps you awake at three in the morning.

Which, in my experience, is reason enough.

Chapter Seventeen

Paying Out Slower

The last chapter was about pulling cash in faster. This one is about letting it out slower. Together they're the two most direct ways to close your Cash Gap, and of the two, this one tends to make SME owners more uncomfortable. Which is interesting, because it shouldn't.

Getting paid faster requires you to have potentially awkward conversations with your customers. Paying out slower requires you to have a perfectly reasonable conversation with your suppliers. One of these things involves asking someone for money they owe you. The other involves asking someone you're already paying whether they can offer you slightly better terms. And yet it's the second one that most business owners have never done.

I find this baffling. Not in a judgemental way, in a genuinely confused way. You're a customer. You're giving these people money. Regularly. Reliably. You are, in many cases, one of the reasons their business exists. And you've never, not once, sat down with them and said "what can you do for me?"

I'll tell you why. It's because most SME owners think of supplier terms the way they think of the weather. Something that happens to them. Something fixed and immutable that they have no control over. The supplier says thirty days, so you pay in thirty days. The supplier says the price is this, so the price is this. It doesn't occur to most business owners that these things are negotiable, because nobody ever told them they were.

Consider yourself told. Everything is negotiable.

Not in an aggressive, pounding-the-table, threatening-to-leave way. That's not negotiation, that's a tantrum, and tantrums don't produce durable results. I mean in a professional, structured, mutually respectful way that recognises a simple truth: your supplier wants to keep your business, and you want better terms. Those two things aren't in conflict. They're the foundation of a productive conversation.

Here is how I advise my clients to do it. Once a year, with every key supplier, have an annual review. Not a complaint. Not a threat. A review. The kind of conversation that any mature commercial relationship should include as a matter of course. Sit down, or pick up the phone, and talk about the relationship. How is it going? What's working? What could be better? And then ask the question that changes everything.

"How can you help us be more competitive?"

That question is beautifully constructed and I take no credit for it because it's been floating around in procurement circles for decades.

But it works because it does two things simultaneously. It signals that you're thinking about your cost base, which tells the supplier you're a serious, commercially minded customer worth keeping. And it frames the negotiation as collaborative rather than adversarial. You're not saying "give me a discount or I walk." You're saying "we want to keep working together, help us make that easier."

What you're looking for from this conversation is two things. A better price, and extended terms. Most SME owners, if they negotiate at all, ask for one or the other. They ask for a discount, or they ask for longer to pay. My advice is to ask for both. Not because you are greedy, but because they do different things for your business. A discount improves your margin. Extended terms improve your cash flow. You need both. And a supplier who values your business will, in most cases, find a way to offer something on at least one of them.

Let me give you an example. You're currently paying a supplier on thirty-day terms at their standard price. You sit down for your annual review and you ask how they can help you be more competitive. After some discussion, they offer you a three percent discount and agree to move your terms to forty-five days. What has that done?

The discount means that every pound you spend with them now costs you ninety-seven pence. Over the course of a year, on significant supplier spend, that adds up to real money on your bottom line. The extended terms mean that for every invoice, you now have an extra fifteen days before the cash leaves your account. Fifteen days of your money sitting in your bank rather than theirs. Fifteen days of breathing room. Fifteen days off your Cash Gap.

Multiply that across three or four key suppliers and the cumulative effect is transformative. Your margins improve, your cash position improves, and you haven't done anything more dramatic than having a polite conversation once a year.

Now, there's a balance to strike here and I want to be honest about it. The goal isn't to squeeze your suppliers until they bleed. That's a short-term game with long-term consequences. You want them working hard to keep your business. You don't want them resenting your business. There is a line between the two and it's usually obvious when you've crossed it.

A practical point. When you extend your payment terms with suppliers, you need to actually track when payments are due and pay on the agreed date. Extended terms aren't an invitation to pay whenever you feel like it. If you negotiate forty-five days and then routinely pay in sixty, you haven't negotiated terms. You've broken an agreement. And a supplier who can't rely on you to pay when you said you would is a supplier who won't offer you better terms next year. Worse, they may tighten the terms you already have.

And when cash is tight, because there will be months when cash is tight regardless of how well you manage your business, you need to know who gets paid first.

Payroll. Always. Without exception. Your staff come first. This should be so obvious it barely needs saying, but I'm saying it anyway because in moments of genuine cash pressure the temptation to delay a payroll run by a few days can creep in, and I want to be absolutely clear that this is a line you don't cross. Your people have bills. Your

people have families. Your people have structured their lives around the assumption that they'll be paid on the date you promised to pay them. The moment you miss a payroll, you haven't just delayed a payment. You've broken trust in a way that may never fully recover. And the practical consequences, the resignations, the tribunal claims, the reputational damage, are almost always worse than whatever cash problem you were trying to solve.

After payroll, your taxes. HMRC isn't a supplier you can negotiate extended terms with, and the penalties and interest for late payment are designed to be unpleasant enough to ensure you never do it twice. Pay your VAT on time. Pay your PAYE on time. Pay your corporation tax on time. These are non-negotiable obligations with a creditor who has considerably more patience than you might expect right up until the moment they run out of it, at which point they've powers that your average supplier can only dream of.

After payroll and taxes, your critical suppliers. The ones who keep your business operational. The ones without whom you can't deliver work, serve customers, or generate revenue. These are the relationships you protect because losing them doesn't just cost you a supplier, it costs you the ability to trade.

Everything else is, to varying degrees, manageable. That doesn't mean you shouldn't pay it. It means that if you're in a tight month and you need to sequence your payments to protect your cash position, the non-critical costs are where a phone call and a short delay won't end the world. A phone call, I should stress. Not silence. Silence is what businesses do before they disappear. A phone call says "I'm managing this." Silence says "I've lost control."

There's one more aspect of paying out slower that I want to address, because it comes up regularly and the answer is less straightforward than people assume. Early payment discounts.

Some suppliers offer a discount for paying ahead of terms. Something like two percent off if you pay within ten days instead of thirty. The question is whether it's worth taking. And the answer, unhelpfully but accurately, is that it depends on your cash position.

If your runway is healthy and you've cash to spare, taking the discount is almost always worthwhile. Two percent off every invoice from a significant supplier is meaningful over a year, and you're effectively earning a return on your cash that beats anything a savings account will offer.

But if your cash is tight and your runway is short, paying early to capture a discount is madness. You're trading twenty days of breathing room for a small percentage saving. The discount improves your margin fractionally. The lost cash flow might kill you. If the cost of not having that cash for twenty extra days is greater than the discount, keep the cash. The discount isn't going anywhere. Your business might be.

The principle behind this entire chapter is simple. Your creditor days are a lever. You can pull it. Not by defaulting on your obligations or damaging relationships, but by having adult conversations with your suppliers about terms that work for both of you, by knowing who to pay first when cash is tight, and by making deliberate, informed

decisions about when cash leaves your account rather than letting it happen on autopilot.

Most SMEs pay their suppliers on whatever terms they were given when they first opened an account, and they never revisit it. They never ask for better. They never review. They never have the conversation. And every month, cash leaves their business faster than it needs to because nobody thought to ask whether it could leave a little slower.

Ask. The worst they can say is no. And in my experience, they almost never say no.

Chapter Eighteen

Taming Your Stock

If you don't carry stock, you might be tempted to skip this chapter. Don't. Because even if you've never had a warehouse full of product gathering dust and tying up cash, there's a very good chance you have the service business equivalent sitting in your business right now, quietly eating your cash flow while pretending to be productive. We'll get to that in a moment.

First, for those of you who do carry physical stock, let me describe a scene that will be depressingly familiar.

Somewhere in your business there's a shelf, or a storeroom, or a warehouse, or possibly just a corner of the office that everybody pretends isn't there. On that shelf is stock. Some of it's the right stock, the things your customers actually want, in the quantities they actually need, ready to be sold and converted back into cash. That stock is doing its job. Leave it alone.

But next to it is the other stock. The stuff you ordered too much of because the supplier offered a bulk discount and it seemed like a good

idea at the time. The stuff that was selling well six months ago and has since been replaced by something your customers like better. The stuff that arrived in the wrong colour, or the wrong size, or the wrong specification, and nobody ever got around to returning it. The stuff that has been there so long it's essentially become furniture.

That stock is not an asset. I do not care what your balance sheet says. It's frozen cash. It's money you've already spent that's sitting on a shelf contributing nothing to your business except taking up space and making your stockroom feel reassuringly full. And feeling reassuringly full isn't a financial strategy.

The most common stock problem I see isn't a business that carries too much or too little. It's a business that carries the wrong mix. Surpluses of things that aren't selling fast enough sitting alongside stock-outs of things that customers actually want. Too much of the wrong thing and not enough of the right thing, which is both a cash flow problem and a sales problem wrapped into one frustrating package.

The goal, and I appreciate this sounds obvious but obvious things have a habit of not being done, is lean. Enough stock to meet demand without tying up more cash than necessary. Not so little that you can't fulfil orders. Not so much that your cash is frozen in a warehouse while your bank account gasps for air. The sweet spot between those two extremes, where stock levels closely match actual demand rather than optimistic projections or historical habits.

Getting there requires you to know three things. What's actually selling, how fast it's selling, and how quickly you can replenish it. If

something sells ten units a month and your supplier can deliver in a week, you don't need sixty units on the shelf. You need fifteen, maybe twenty with a safety margin. The other forty units represent cash you could have in your bank account instead of on a shelf. Cash that could be covering your fixed costs, bridging your debtor days, or building your runway.

If you haven't done a proper stock review recently, and by recently I mean in the last three months, do one. Walk the shelves. Compare what's there against what's actually selling. Identify the dead stock, the slow stock, and the overstocked lines.

Then make some decisions. Discount it, return it, write it off if you've to, but get it moving. Every pound you recover from dead stock is a pound back in your cash flow. It won't feel glamorous. It will feel like admitting a series of small mistakes. But those small mistakes are costing you real money every single day they sit there unsold.

Now. For the service businesses. Your version of stock is work in progress. WIP. And it's just as much of a cash trap, sometimes worse, because at least physical stock is visible. You can see it. You can trip over it. WIP hides in timesheets and project plans and half-finished deliverables that nobody has invoiced yet.

Work in progress is time and resource you've already spent on a project that hasn't yet been billed. Your staff have been paid for the hours. Your overheads have been running. You may have incurred subcontractor costs or expenses. All of that cash has gone out. But because the project isn't yet at an invoiceable milestone, or because nobody has raised the invoice for the phase that's already complete, or

because the project has overrun and the client hasn't been billed for the additional work, the cash hasn't come back. And just like physical stock, the longer it sits there unconverted, the wider your Cash Gap becomes.

The fix is straightforward. Know what your WIP is at any given time. Know which projects have unbilled work sitting in them and how long it's been there. If a project milestone is complete, invoice it today. Not next week. Today. If a project has overrun and you're carrying costs that haven't been billed, have the conversation with the client about additional charges now, not at the end of the project when the total has become large enough to be difficult. If you have staff recording time against projects that aren't generating invoiceable work, find out why and fix it, because every hour of unbilled time is an hour your business funded for free.

Some service businesses I've worked with have had weeks or even months of unbilled work sitting in their pipeline. When I show them the number, when I tell them that the figure they're looking at represents cash they've already spent that's sitting in limbo waiting for someone to press send on an invoice, the reaction is always the same. Disbelief, followed by a slight pallor, followed by a sudden and intense interest in their invoicing process.

Whether you carry physical stock or service WIP, the principle is identical. Cash that has been converted into something other than cash needs to be converted back as quickly as possible. Every day it sits unconverted is a day it's not in your bank account. Every day it's not in your bank account is a day your Cash Gap is wider than it needs to be.

Tame your stock. Invoice your WIP. Get your cash moving again.

And clear out that shelf. You know the one.

Chapter Nineteen

Your Cash Reserve

The mortgage company in Chapter Two had a cash reserve. Or rather, it should have had one. It was a profitable, established business with years of strong revenue behind it. By any reasonable measure there should have been a substantial cushion sitting in the bank. There wasn't. Because someone had stolen it. And when the subprime market collapsed and the revenue disappeared overnight, the buffer that should have bought six months of breathing room simply wasn't there. The business went from profitable to administration in weeks.

I tell you thisn't to rehash a story you've already read, but to make a point that I need you to take seriously. Your cash reserve is not a luxury. It's not something you build after everything else is sorted. It's not the financial equivalent of a nice-to-have feature that you'll get around to when business is good. It is cash sitting in a separate account, untouched, unspent, reserved for the moment when everything goes sideways and you need time to think. It's the single thing that determines whether a crisis becomes a problem you manage or a problem that ends you.

In Chapter Nine we calculated your cash runway. That number told you how long your business can survive if revenue stops. Your cash reserve is how you extend that runway from whatever it's today to something that lets you sleep at night.

Six months. That's what I aim for with every client. Six months of fixed costs and essential overheads held in reserve. Not six months of total expenditure, that would be excessive for most SMEs, but six months of the costs that don't stop when revenue does. Rent, salaries, lease payments, insurance, taxes, the obligations that arrive regardless. Calculate that number. That is your target.

"Six months? I can barely cover next week." I understand. I am not suggesting you build this overnight. I'm suggesting you start. Here is how.

Open a separate bank account. Not a savings account with a slightly better interest rate that you'll raid the first time cash gets tight. A separate account, ideally with a different bank, that requires a small amount of effort to access. The friction is deliberate. You want a tiny barrier between you and that money, just enough to make you pause and think "do I really need this right now or am I just having a bad week?"

Every month, move a fixed amount into that account. It doesn't have to be a large amount to start with. It has to be consistent. Ten percent of your net profit is a good starting point if your margins can support it. Five percent if they can't. Even two percent is better than

nothing, because the habit matters more than the amount in the early stages.

The habit's the hard part. Not because the maths is difficult but because everything else in your business will feel more urgent and more exciting than putting money into an account you are not supposed to touch. A new hire. A marketing campaign. New equipment. An office upgrade. All legitimate investments. All competing for the same cash. And all of them, every single one, less important than the reserve that keeps your business alive when the world does something you didn't plan for.

That's a bold statement and I stand behind it. Because a new hire in a business with no cash reserve is a new hire in a business that's one bad month away from not being able to pay them. A marketing campaign in a business with no reserve is a marketing campaign that might generate new customers for a business that doesn't survive long enough to serve them. Every investment you make in growth is a bet that the future will be kind enough to let you benefit from it. Your cash reserve is the thing that keeps you in the game when the future isn't kind.

I learned this personally, by the way. The mortgage company closing cost me my home because I'd overextended without a buffer. I'd done exactly what I now tell my clients not to do. I'd built a life on the assumption that the income would keep arriving and hadn't set aside enough to survive when it didn't. It is, to put it mildly, a lesson I only needed to learn once.

As your reserve grows, something interesting happens psychologically. You make better decisions. Not because you have suddenly become more intelligent, but because you are no longer making decisions from a position of fear. When your cash reserve is zero and a big client asks for extended terms, you say yes because you can't afford to lose them. When your reserve is six months, you negotiate properly because walking away is an option you can actually afford. When your reserve is zero and a supplier increases their prices, you absorb it because finding an alternative takes time you don't have. When your reserve is six months, you shop around because you have the breathing room to be selective.

A cash reserve doesn't just protect you from disaster. It makes you a better, calmer, more strategic business owner every single day. It is the difference between running a business and being run by one.

Now, a few practical points that I've learned from building reserves with dozens of clients over the years.

First, do not touch the reserve for anything that's not a genuine emergency. A slow month isn't an emergency. A slow month is a feature of SME life and your normal cash flow should be managed to accommodate it. Losing your biggest client is an emergency. A global pandemic shutting down your industry is an emergency. An unexpected tax bill that threatens your ability to meet payroll is an emergency. The distinction matters because if you dip into the reserve every time things get uncomfortable, it'll never build to a level that actually protects you. And the habit of raiding it becomes self-reinforcing. Once you've done it once, doing it again feels easier, and

before long the reserve is just another operating account with a more optimistic name.

Second, replenish immediately after any withdrawal. If you do use the reserve, rebuilding it becomes the top financial priority until it's back to its previous level. Not the second priority. Not something you'll get to when margins improve. The top priority. Because the period immediately after using your reserve is the period when you're most vulnerable. Leaving it empty after a withdrawal is like removing your seatbelt immediately after a near miss.

Third, review the target annually. As your business grows, your fixed costs will grow with it. Six months of overheads for a five-person business is a very different number from six months of overheads for a fifteen-person business. Your reserve target needs to grow with your cost base.

Fourth, tell your accountant about the reserve. If they're doing your annual accounts and they see a large sum sitting in a separate account, they need to understand what it's for. A good accountant will applaud the reserve. A great accountant will help you protect it.

Building a cash reserve is the least exciting thing you'll ever do for your business. It generates no revenue. It wins no clients. It produces no product. It sits in an account doing nothing, month after month, like a fire extinguisher on a wall. Boring. Unremarkable. Completely pointless right up until the moment your business is on fire.

The mortgage company didn't have one. I didn't have one. Every story in Part One of this book would have ended differently if some-

one, somewhere, had set aside six months of cash and refused to spend it.

Don't be another story. Build the reserve.

Chapter Twenty

The Number You're Avoiding

I need to talk to you about something that isn't in any of the calculations.

Over the last few chapters I've given you tools. Debtor days. Break-even point. Cash runway. A framework for auditing your fixed costs, a process for getting paid faster, a method for negotiating better terms with your suppliers. I've told you to build a cash reserve. I've told you to calculate your runway today, not next week, not when things settle down, today.

Some of you have done it. You read the chapter, you opened the spreadsheet, you ran the numbers, and you now know where you stand. Good. The rest of the book will make more sense because you've done the work.

And some of you haven't. You've been reading, you've been nodding, you've been thinking "I should do that," and you haven't done it. Not because you're lazy. Not because you don't believe me. But because somewhere between understanding what you need to do and actually doing it, there's a wall. And the wall isn't made of complexity or time or technical knowledge. The wall is made of fear.

This chapter is for you.

I've sat across the table from hundreds of business owners over the course of my career. I can tell you, almost to the minute, the point in the conversation where the shutters come down. It's not when I explain the concept. It's not when I describe the tool. It's when I say "let's look at your numbers."

The body language changes. The arms fold. The eye contact breaks. Sometimes there's a joke, a deflection, a sudden urgent need to check their phone. Sometimes there's a direct and honest "I'd rather not." And sometimes, more often than you'd think, there's a silence that tells me everything. They already know the numbers are bad. They've known for months. They just haven't looked, because not looking is the only thing standing between them and the reality they're not ready to face.

I understand this. I don't judge it. I've done it myself.

When the mortgage company closed and I couldn't replace the income quickly enough, I didn't sit down with a spreadsheet and calculate my personal runway. I didn't audit my fixed costs. I didn't have the money conversation with my mortgage lender. I did exactly

what every business owner does when the numbers are frightening. I avoided them. I told myself it would be fine. I checked the bank balance in the morning, felt the knot in my stomach, and then got on with my day as if not thinking about it would somehow make it go away.

It did not go away. We lost the house.

I tell you that not to make you feel guilty about avoiding your own numbers, but to make the point that knowing what to do and doing it are separated by something that has nothing to do with knowledge. The obstacle is emotional. And until you name it, it wins.

So let's name it.

The first thing you're afraid of is confirmation. Right now, you have a suspicion about your cash position. It might be a vague sense that things are tighter than they should be. It might be a specific fear about a particular client or a particular month. But it's unconfirmed. It lives in the back of your mind as a worry, not a fact. And worries, however unpleasant, are bearable. Facts are harder. Calculating your runway or your debtor days turns a worry into a number, and a number is something you can't un-know. You're afraid that the number will confirm what you've been dreading.

Here's what I need you to hear. The number is already the number. Whether you look at it or not, your runway is what it is. Your debtor days are what they are. Your break-even point doesn't change because you haven't calculated it. The only thing that changes when you look

is that you can do something about it. Avoidance doesn't protect you from bad news. It protects bad news from you.

The second thing you're afraid of is judgment. Your own, mostly. If you calculate your break-even and discover that your cost structure has been unsustainable for two years, the voice in your head doesn't say "well, now I know and I can fix it." The voice says "how did I let this happen? I should have known. I'm supposed to be running a business. What kind of business owner doesn't know their own break-even?"

The kind who was never shown how to calculate it. The kind whose accountant never explained it. The kind who was too busy delivering excellent work and looking after their customers and managing their team to sit down and learn something that nobody told them was important. In other words, the vast majority of SME owners in this country. You're not behind. You're normal. The system that was supposed to teach you this stuff failed, not you.

The third thing, and this is the one that nobody talks about, is identity. For many SME owners, the business is them. Their name is on the door. Their reputation is on the line. Their family's security depends on it. When you ask them to look at numbers that might show the business is in trouble, you're not just asking them to review a spreadsheet. You're asking them to consider the possibility that the thing they've built, the thing they've sacrificed for, the thing they tell people about at dinner parties, might not be as solid as they need it to be.

The maverick in Chapter Three couldn't hear my advice because hearing it meant accepting that the business he'd staked his family's

security on was beyond saving. That's not a financial problem. That's an identity problem. And it's the reason he went out and borrowed more money instead of facing what the numbers were telling him.

I'm not a therapist. I'm an accountant. I can't fix the emotional relationship you have with your business in a chapter of a book. But I can tell you what I've observed, over decades, about the business owners who push through the fear and the ones who don't.

The ones who don't look at the numbers make decisions based on feelings. The month feels okay, so it probably is. The client feels like they'll pay, so they probably will. The pipeline feels strong, so the cash will probably be fine. "Probably" is the most expensive word in small business. It's the word that stands between you and the spreadsheet, between you and the phone call to your bank, between you and the conversation with your client about payment terms. It feels safer than certainty. It is the opposite of safe.

The ones who do look at the numbers aren't braver. They're not tougher. They're not more financially sophisticated. They've simply decided that the discomfort of knowing is better than the danger of not knowing. They've made a calculation, not a financial one but a human one, that five minutes of anxiety with a spreadsheet on a Monday morning is preferable to months of background dread that never resolves because it's never confronted.

That's all it is. A decision. Not a personality trait. Not a talent. A decision you can make right now.

Let me make it easier.

You don't have to do everything at once. You don't have to calculate your debtor days and your break-even and your runway and audit your fixed costs and build a thirteen-week forecast all in one afternoon. That's how people overwhelm themselves into doing nothing. Do one thing. Today. The smallest thing.

If you haven't calculated your runway, do that. Open your bank account, look at the balance, divide it by what leaves every month. That's it. One number. It'll take two minutes. The number might be fine. The number might be terrifying. Either way, you'll know. And knowing is the first step out of the fog.

If you've been avoiding the payment conversation with a client, send one email today. Not an ultimatum. Not a confrontation. The polite reminder from Chapter Ten. "Just a quick note to let you know that invoice 1234 is due on Friday." One email. That's it. You'll be amazed how much lighter you feel after pressing send.

If you've been meaning to open a separate account for your cash reserve, do it today. You don't have to put money in it yet. Just open it. Give the reserve a place to exist. The act of opening the account is a statement of intent, and intent is where change starts.

One thing. Today. Then one thing tomorrow. Then one thing the day after. The system this book teaches doesn't require a revolution. It requires a series of very small, very manageable decisions made consistently over time. The Monday morning routine in Chapter Nineteen is thirty minutes. But you don't get to thirty minutes by trying to do

everything on day one. You get there by doing one thing today and building from there.

I want to tell you something that I don't tell my clients often enough, and I wish I did, because it matters. Every single business owner I've worked with who has pushed through the resistance, who has looked at the numbers they were avoiding, who has had the conversation they were dreading, has said the same thing afterwards.

"It wasn't as bad as I thought."

Not because the numbers were always good. Sometimes they were terrible. But because the reality, however difficult, was always more manageable than the fear. The fear is infinite. It expands to fill whatever space you give it. It feeds on silence and avoidance and the dark hours between two and four in the morning. The reality is a number. A number has edges. A number can be worked with, planned around, improved over time. A number, even a bad one, is the beginning of a plan. Fear is the absence of one.

The agency owner in Chapter Four cried when her debtor days dropped and her overdraft cleared. But she told me afterwards that the hardest moment wasn't implementing the changes. It was looking at the seventy-eight days for the first time. Everything after that was just work. Uncomfortable work, unfamiliar work, but work she could do. The only thing she couldn't do was the thing she'd been doing for five years, which was not looking.

You've read thirteen chapters of this book. You understand the Cash Gap. You know what debtor days are. You know what your

break-even means. You know what a cash runway is and why it matters. You have more knowledge about working capital management right now than the vast majority of SME owners in this country will ever have.

The only question left is whether you're going to use it.

I can't make that decision for you. But I can tell you, from decades of experience, that the business owners who look at their numbers, even when it's frightening, are the ones who are still here five years later. And the ones who don't, aren't.

One number. Today. Start there.

The rest will follow.

Chapter Twenty-One

When You Need Outside Funding

There's an old saying in business finance that every SME owner learns eventually, usually the hard way. When you need money, the banks are nowhere to be seen. When you don't need it, they're all over you like a rash.

This isn't a joke. It's the operating reality of commercial lending. Banks and lenders aren't charities. They are not in the business of rescuing struggling companies. They're in the business of lending money to businesses that can demonstrate they'll pay it back. Which means the single most important thing you can do to improve your access to external funding is to not need it urgently when you ask for it.

I realise that sounds like telling someone the best time to fix the roof is when it's not raining. But that's precisely the point. The conversations you should be having with lenders are the ones you've when

your business is healthy, your numbers are strong, and the funding is to support growth or manage a predictable cash flow cycle, not to plug a hole that appeared last week. Approach from strength and you have options. Approach from desperation and you take whatever you're given, which will almost certainly cost you more than it should and come with conditions you wouldn't have accepted if you had any alternative.

So let's talk about the types of external funding available to SMEs, what each one actually costs you, not just in interest but in control, and when each one makes sense.

The two most common forms of external funding I see SMEs using are overdrafts and invoice finance. Between them they cover the majority of working capital needs. But they work very differently, they cost very differently, and they're suitable for very different situations.

An overdraft is the one everybody knows. Your bank agrees to let you spend more than you have in your account, up to a pre-agreed limit, and charges you interest on whatever you've borrowed. It's flexible, it's familiar, and it's immediately available when you need it. For those reasons it's the default choice for most SME owners who need a cash buffer.

And as a safety net, an overdraft is genuinely useful. The month when a big payment arrives three days before a big receipt, the seasonal dip that happens every year but still catches you slightly off guard, the unexpected bill that needs paying before the next invoice clears. These are the situations an overdraft was designed for. Short-term, temporary, self-correcting. The money goes out, the money comes

back in, the overdraft returns to zero, and the interest cost is minimal because the borrowing was brief.

The problem with overdrafts is what happens when they stop being temporary. When the overdraft is permanently drawn. When the balance never returns to zero. When the facility that was supposed to be a safety net becomes, in practice, a permanent loan that you're paying interest on every single day. This is what I call hardcore borrowing, and it's one of the most expensive ways to fund a business that exists.

An overdraft that's always fully drawn isn't a working capital tool. It's a sign that your business has a structural cash flow problem that the overdraft is masking rather than solving. You're paying interest every day to maintain the illusion that your cash position is better than it actually is. And the bank knows this. They can see your account. They can see that the overdraft never clears. And when they next review your facility, the terms will reflect what they see.

If your overdraft is permanently drawn, the question isn't how to get a bigger overdraft. The question is why your business needs one all the time. And the answer is almost certainly somewhere in the preceding eight chapters. Your debtor days are too long. Your creditor days are too short. Your fixed costs are too high. Your reserve is non-existent. The overdraft is treating the symptom. The earlier chapters treat the cause.

Invoice finance is the second most common form of SME funding and, in my experience, the most misused. It's also, bewilderingly, something that most SMEs either don't know about or have never considered using, which is a shame because for the right business in the

right situation, invoice finance is one of the most powerful working capital tools available.

Here is how it works in simple terms. You raise an invoice for work you've done. Instead of waiting thirty, sixty or ninety days for your customer to pay, you sell that invoice, or borrow against it, to a finance provider who advances you a percentage of the invoice value immediately. Typically eighty to ninety percent. When your customer eventually pays, the finance provider takes their fee and releases the remaining balance to you.

The effect is that your debtor days, from a cash flow perspective, drop to almost zero. You do the work, you raise the invoice, and the cash is in your account within days rather than months. The Cash Gap that we've spent the last several chapters discussing shrinks dramatically, because the biggest component of it, the time spent waiting for customers to pay, has been effectively eliminated.

So why do I say it's misused?

Because invoice finance costs money. The fees, typically a combination of a service charge and an interest charge on the advanced amount, eat into your margin on every invoice. For a profitable business with healthy margins and customers who pay on long terms, that cost is manageable and the cash flow benefit is transformative. For a business with thin margins that's using invoice finance to paper over a deeper problem, the cost can quietly consume what little profit there's until the financing is costing more than it's solving.

Invoice finance should be a tool you choose, not a crutch you depend on. It should be part of a broader working capital strategy alongside proper credit control, sensible payment terms, and a growing cash reserve. Used well, it bridges the gap that your other measures can't close. Used as the only solution to a cash flow problem you haven't diagnosed, it's an expensive plaster on a wound that needs surgery.

One practical distinction worth knowing. Invoice finance comes in disclosed and confidential forms. With disclosed facilities, your customers know you're using a finance provider and pay them directly. With confidential facilities, the arrangement is invisible to your customers and they continue paying you as normal. Some businesses worry that customers will view invoice finance as a sign of financial difficulty, which it's not, any more than a mortgage is a sign that you can't afford a house. But if confidentiality matters to you, it's available.

Now, a word about the funding I actively warn clients away from.

Short-term business loans with high interest rates and merchant cash advances are the payday lenders of the SME world. They're easy to access, which is precisely what makes them dangerous. When you're desperate for cash and a provider offers to deposit ten thousand pounds into your account by tomorrow afternoon, the terms and conditions aren't the first thing on your mind. They should be. Because the effective interest rates on these products can be eye-watering, the repayment structures can be brutal, and the total cost of borrowing can be multiples of what a conventional facility would charge.

Credit card facilities fall into the same category. Using a business credit card for short-term cash flow management is like using a sledge-

hammer to hang a picture. Technically it works. Practically it's going to cause damage. Credit card interest rates are designed for consumer spending, not for funding a business's working capital cycle. If you find yourself regularly relying on credit cards to bridge cash flow gaps, you don't have a funding solution. You've a very expensive habit.

The common thread with all of these is desperation. Businesses don't use high-cost funding because they've carefully evaluated their options and concluded that a twenty-five percent APR is the optimal choice. They use it because they're out of other options, because the need is immediate, and because the provider made it easy. Every chapter in this book up to this point has been designed to make sure you never find yourself in that position.

So what do lenders actually want to see when you approach them? Two things above all else.

First, the ability to service the debt. Can your business comfortably make the repayments from its normal cash flow without the borrowing putting you under additional pressure? This is why your cash flow forecast, which we'll build in Chapter Seventeen, matters so much. A lender who can see a clear, credible, thirteen-week forecast that demonstrates the borrowed funds being used productively and repaid from operating cash flow is a lender who's far more likely to say yes, and to say yes on reasonable terms.

Second, controlled growth. Lenders love growth. They don't love overtrading. Overtrading is when a business grows faster than its working capital can support, taking on more work, more customers, more commitments than the cash flow can fund. It looks like success from the outside and it looks like a ticking timebomb from the inside.

Expanding on the basis of anticipated revenue, spending money you haven't yet received on the assumption that it'll arrive, is the cautionary tale lenders have nightmares about. They want to see expansion funded from demonstrable strength, not projected optimism.

External funding isn't inherently good or bad. It is a tool. Like any tool, its value depends entirely on how and when you use it. An overdraft used as a temporary buffer is sensible. An overdraft used as a permanent life support system is a problem. Invoice finance used to bridge a predictable cash gap in a profitable business is smart. Invoice finance used to mask the fact that the business model isn't working is expensive denial.

The best time to arrange funding is before you need it. The best terms come to businesses that can demonstrate they'll repay. The best outcomes come from treating external money as one component of a working capital system, not as a substitute for having one.

Which brings us, neatly, to Part Four. Where we build the system.

Chapter Twenty-Two

PART FOUR: YOUR WORKING CAPITAL SYSTEM

Chapter Twenty-Three

Effective Credit Control

In Chapter Ten we talked about getting paid faster. This chapter is about building the discipline that makes getting paid faster a permanent feature of your business rather than something you attempt enthusiastically for two weeks and then quietly abandon because you got busy.

Credit control isn't a one-off project. It is a system. A rhythm. A set of behaviours that your business performs consistently, week after week, month after month, until your clients are so accustomed to your process that paying you on time becomes the path of least resistance. That is the goal. Not to be aggressive. Not to be difficult. To be so consistent, so predictable, so professionally relentless that paying you is easier than not paying you.

Because here is what most SME owners don't understand about credit control. It is not really about chasing money. It's about training your clients.

A client who knows, from the very first conversation, that you have a clear payment process, that you'll remind them before an invoice is due, that you'll follow up the day it becomes overdue, and that you'll escalate predictably and calmly if payment doesn't arrive, is a client who puts you at the top of the payment pile. Not because they are scared of you. Because you've made it very clear that you take this seriously, that your process isn't going to go away, and that the easiest way to make the polite emails stop is to pay the invoice.

Consistency is the entire game. A credit control process that you follow rigidly for your first three clients and then let slide because you're busy or because you feel awkward or because you convince yourself that this particular client is definitely going to pay next week, isn't a process. It's a suggestion. And suggestions don't get invoices paid.

So let me walk you through what a good credit control process looks like in practice. This is the first pillar of the working capital system we're building, and it starts before the invoice is even raised.

Step one. The money conversation at the start of the relationship. We covered this in Chapter Ten. Everything that follows becomes immeasurably easier if the client already knows how your payment process works.

Step two. Credit check every new client before you extend them terms. Every one. I do not care how enthusiastic you are about the work. I do not care how big the opportunity is. I do not care that they were referred by your best friend's cousin and they seem really lovely. Check them. Use a credit reference agency. It takes minutes. It costs almost nothing. And it tells you, before you've committed a single hour of your time or a single pound of your resources, whether this client has a history of paying their suppliers or a history of not paying them.

When the results come back, respect them. Don't override a poor credit score because the deal feels too good to walk away from. The deal is only good if you get paid for it. A ten thousand pound project for a client who doesn't pay isn't a ten thousand pound opportunity. It's a ten thousand pound donation. And I suspect you're not running a charity. There are rare exceptions, a startup backed by a known investor, a business in temporary restructure with clear recovery, but these should be conscious, deliberate decisions made with full knowledge of the risk.

Step three. Invoice immediately and correctly, as we discussed in Chapter Ten. Right details, right person, right PO number, same day the work is done or the milestone is hit.

Step four. Before the invoice is due, make contact. A polite reminder. "Invoice 1234 is due on Friday, just confirming everything is in order for payment." This keeps your invoice visible and surfaces any problems, a missing PO number, a query about the work, a wrong email address, before the due date. Problems found before the due date

are administrative issues. Problems found after the due date are excuses for late payment.

Step five. On the due date, if payment hasn't arrived, follow up. Same day. Not next week. Same day. The client knows this is your process because you told them at the start and because the pre-due-date reminder set the expectation. A brief, professional follow-up. "Invoice 1234 was due today. Could you confirm when we can expect payment?"

Step six. If payment hasn't arrived within a week of the due date, a phone call. Not an email. A call. Emails are easy to ignore. Phone calls aren't. Keep the tone professional and curious rather than accusatory. "I'm just following up on invoice 1234 which is now a week overdue. Is there a problem I should know about?" That last question is important. Sometimes there's a problem. Sometimes the client is in difficulty themselves. Sometimes there's a genuine dispute about the work. Finding out is better than assuming the worst and escalating unnecessarily.

Step seven. Regular statements. Weekly or fortnightly, depending on your volume. A clear summary of everything outstanding, organised by age. Current, thirty days, sixty days, ninety days. Statements are powerful because they present the full picture. A client who owes you one invoice might not feel much urgency. A client who sees four invoices across three months on a single page tends to feel rather more motivated.

Step eight. At sixty days overdue, escalate. This shouldn't come as a surprise to anyone because your process has been visible and consistent

from day one. The escalation might be a more formal letter, a conversation with a more senior person at the client, or a clear statement that continued non-payment will affect the relationship. The tone shifts from professional curiosity to professional concern. You're no longer asking if there's a problem. You're telling them that there is one.

Step nine. At ninety days, stop work. I mean this. If a client owes you money that's ninety days overdue and they haven't engaged meaningfully with your credit control process, you stop delivering work for them. This is not a negotiating tactic. This is a commercial decision. A client who's ninety days late is not a client who's forgotten to pay. They're a client who's decided, consciously or otherwise, that paying you isn't a priority. Continuing to deliver work while they owe you three months of invoices isn't maintaining a relationship. It's funding their business at the expense of yours.

Some business owners find this step terrifying. "But they're a big client. But we need the revenue." Let me ask you this. What revenue? You haven't been paid for three months. The revenue you think you're protecting doesn't exist. It's a number on an invoice that hasn't converted to cash. You're working for free and calling it a client relationship.

Stop the work. Have the conversation. Either they pay and the relationship continues on proper terms, or they don't pay and you've confirmed what you already suspected, which is that this was never a viable commercial relationship in the first place. Either outcome is better than the alternative, which is continuing to pour your time, your resources, and your cash into a client who's treating you as an interest-free, unsecured, involuntary lender.

This entire process must be applied consistently to every client. Not just the small ones. Not just the ones you feel comfortable chasing. Every one. The moment you make exceptions, you've undermined the system. Your credit control process is only as strong as its weakest exception.

The good news is that most clients, the vast majority in fact, will never reach the sixty-day mark. A consistent, professional credit control process that begins before the invoice is due and follows up promptly when it's not will resolve ninety percent of late payments within the first two steps. The escalation procedures exist for the remaining ten percent, and the stop-work threshold exists for the two percent who were never going to pay you without serious consequences.

Effective credit control is the first pillar of your working capital system because it controls the single largest component of your Cash Gap, the time between raising an invoice and receiving the cash. Get this right and your debtor days will fall, your cash position will improve, and the amount of your own money you're lending to your clients will shrink month by month.

It's not glamorous work. It will never be the reason you win an award or get invited to speak at a conference. But it's the reason your business will have cash in the bank when it needs it, and that, when you strip everything else away, is the only thing that matters.

This is the discipline of getting paid. Build it. Follow it. Never apologise for it.

Chapter Twenty-Four

The 13 Week Cash Flow Forecast

If credit control is the discipline of getting paid, the thirteen-week cash flow forecast is the discipline of seeing what's coming. It is, without qualification, the single most powerful working capital tool available to any SME owner. It costs nothing. It requires no specialist software. It can be built in a spreadsheet in an afternoon. And it'll change the way you run your business.

That's a bold claim. I stand behind it entirely. Because a business without a cash flow forecast is making decisions based on what happened last month and what the bank balance says this morning. A business with one is making decisions based on what's going to happen over the next quarter. The difference is between reacting and anticipating. Between discovering a cash crisis when it arrives at your door and seeing it on the horizon with enough time to do something about it.

Thirteen weeks. One quarter. That's the window. Not twelve months, which is too distant to be useful for cash management and too speculative to be reliable. Not four weeks, which is too short to see the patterns that will kill you. Thirteen weeks gives you enough visibility to spot problems while they're still problems and not yet emergencies. It's far enough ahead to be useful and close enough to be grounded in reality.

Here is what goes into it. A column for each of the next thirteen weeks. And then, in the rows, every significant cash movement your business is going to experience.

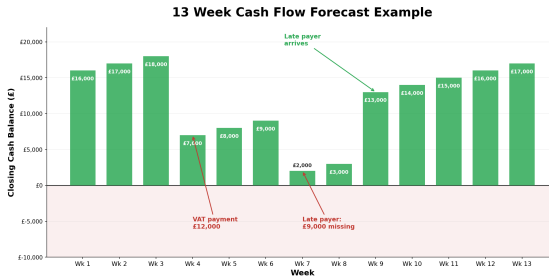
Start with your opening balance. The cash in the bank at the start of week one. This is the one number in the entire forecast that's not a projection. It's a fact. Everything else is an estimate, and that's fine. We'll come back to why that's fine in a moment.

Next, cash in. What money do you expect to receive each week? This comes from your outstanding invoices, your expected sales, any other income. Be realistic. If a client typically pays in forty-five days, don't put them in week two because you hope they might pay early. Put them in week seven because that's when they actually pay. The forecast is only useful if it reflects how your clients actually behave, not how you wish they would.

Then, cash out. Everything. Payroll in the week the money actually leaves your account, not the week it's earned. Rent and supplier payments on the dates they fall due. Loan repayments, capital expenditure, VAT, which has a wonderful habit of arriving in exactly the week you can least afford it. PAYE and National Insurance. Corporation

tax. Any HMRC time-to-pay arrangements. Software subscriptions, insurance, and every other outgoing that's going to take cash out of your business over the next thirteen weeks.

At the bottom of each column, the maths is simple. Opening balance, plus cash in, minus cash out, equals closing balance. That closing balance becomes the opening balance for the following week. Repeat thirteen times. Done.



What you now have in front of you is a map of the next quarter. A week-by-week picture of your cash position that shows you, in advance, exactly when the pressure points are. The week in month two where three big payments coincide and your balance dips below zero. The week in month three where a VAT payment lands and your runway shrinks to nothing. The week where you need a client to pay on time because if they don't, you can't make payroll.

This is the point at which people look at their forecast for the first time, see a negative number in week eight, and either panic or dismiss the whole exercise as depressing. Neither response is helpful. The correct response is: now I know. And because I know, I can do something about it. I have seven weeks to close that gap. Seven weeks

to chase an invoice, negotiate a payment, draw on a facility, delay a purchase, or make whatever adjustment is necessary to ensure that week eight doesn't become a crisis.

That is the power of the forecast. It doesn't prevent problems. It reveals them early enough for you to act.

Now, the question I get asked more than any other when I introduce this tool to a client. "How can I forecast thirteen weeks ahead when I don't know exactly what's going to happen?"

You can't. And you do not need to. This is the single most important thing I can tell you about cash flow forecasting, so I'm going to say it clearly.

The forecast doesn't need to be one hundred percent accurate. It needs to be directionally right. It's about the signals it delivers, not the precision of every individual number.

If your forecast shows you running out of cash in week nine, it doesn't matter whether the actual shortfall is twelve thousand pounds or fifteen thousand pounds. What matters is that there's a shortfall, it's coming, and you've time to address it. If your forecast shows a comfortable surplus through the entire quarter, it doesn't matter whether the actual surplus is twenty thousand or twenty-five thousand. What matters is that you're not heading for a cliff.

The business owners who fail at cash flow forecasting are the ones who try to make it perfect. They build elaborate models with seventeen tabs and conditional formulae that require a degree in applied

mathematics to maintain. They create a beautiful, complex, utterly unusable document that they update once, feel overwhelmed by, and never touch again.

Don't be that person. A simple forecast that you update every week is worth infinitely more than a sophisticated one that you updated once in January and haven't looked at since. Simplicity isn't a compromise. It's the design.

Update it weekly. Every Monday morning, or whatever day works for your rhythm, sit down for thirty minutes and refresh the numbers. Move last week's estimates into actuals. Adjust the next twelve weeks based on what you now know. Add any new invoices, new commitments, new information. Roll the forecast forward by one week so you always have thirteen weeks of visibility ahead of you. Over time, patterns emerge. You start to see that month two is always tight because of the way your billing cycle lines up with your supplier payments. You start to see that the week after VAT is due is always uncomfortable. You start to see that your cash position dips predictably at certain points in the quarter and recovers at others. And once you see the patterns, you can plan for them instead of being surprised by them every single time as if they've never happened before.

The forecast also becomes your early warning system for conversations with your bank, your accountant, and your team. If you can see a shortfall coming in six weeks, you can talk to your lender about a temporary increase in your facility while the numbers are still in your favour. If you can see a large tax payment looming, you can start setting cash aside now instead of scrambling for it on the day. If you can see that growth is going to put pressure on your cash flow, you can plan the

recruitment or the investment around the weeks when your position is strongest.

Every difficult financial conversation becomes easier when you can put a forecast in front of someone and say "here is what's coming, here is what I've planned, and here is what I need from you." That's not a business owner in trouble. That's a business owner in control. Lenders respond to it. Accountants respect it. And your own confidence in making decisions improves dramatically because you're no longer guessing.

Let me show you what this looks like with real numbers. Imagine a service business with fifteen thousand in the bank at the start of week one. Weekly cash in averages eight thousand from client invoices. Weekly cash out averages seven thousand across payroll, rent, suppliers, and overheads. On paper, the business is profitable, one thousand a week to the good. But in week four, a quarterly VAT bill of twelve thousand lands. And in week seven, a major client who owes nine thousand is running two weeks late. Suddenly week seven shows a closing balance of minus four thousand. Without the forecast, that minus four thousand is a Friday afternoon crisis. With the forecast, it's a Monday morning in week one, six weeks away, with half a dozen options still available. Chase the late payer now. Delay a non-critical supplier payment. Draw on the overdraft for one week. The gap is the same size either way. The difference is whether you see it coming.

A template for a basic thirteen-week cash flow forecast is included in the Appendix. It's deliberately simple. One page. Opening balance, cash in, cash out, closing balance, thirteen columns. You can build it in any spreadsheet in less than an hour. You can update it in thirty

minutes a week. And it'll tell you more about the health of your business than your annual accounts, your management reports, and your bank balance combined.

This is the second pillar of your working capital system. Credit control tells you what you're owed and helps you collect it. The cash flow forecast tells you what's coming and helps you prepare for it. Together they give you control over two of the three components of the Cash Gap, what comes in and when, and what goes out and when.

The third pillar bridges whatever gap remains.

Chapter Twenty-Five

Financing Arrangements

Credit control gets the money in. The cash flow forecast shows you what's coming. But there will be weeks, sometimes months, where the gap between the two can't be closed by discipline alone. Where the cash coming in and the cash going out don't line up, no matter how efficient your invoicing or how tight your processes. Where the forecast shows a shortfall and the only way to bridge it is with someone else's money.

That is not failure. That's reality. And this chapter is about making sure that when you need external financing, it responds to your forecast rather than to your panic.

The principle is straightforward. Your thirteen-week cash flow forecast is the engine. It tells you, week by week, where the gaps are. Your financing arrangements are the bridge. They fill the gaps that

credit control and payment management can't close. The forecast drives the financing, not the other way around.

Let me show you what that looks like in practice.

You update your forecast on Monday morning. Week six shows a shortfall of twenty thousand pounds because a VAT payment coincides with a slow collection week. You know this six weeks in advance. You've options. You can chase specific invoices to try to pull cash forward. You can delay a non-essential payment to ease the pressure. Or you can draw on your financing facility for precisely the amount you need, for precisely the period you need it, and repay it when the collections arrive in week seven.

That's a business using financing intelligently. Not as a permanent crutch. Not as an emergency response. As a precise, planned, temporary bridge that the forecast identified and the financing filled. The cost is minimal because the borrowing is short and targeted. The stress is minimal because you saw it coming. The lender is happy because you're using the facility exactly as it was designed to be used.

Now compare that with a business that has no forecast. The same shortfall arrives in week six, but nobody saw it coming. The payroll is three days late. A supplier puts the account on stop. The owner calls the bank in a panic. The overdraft is already drawn. The conversation is difficult, the terms are unfavourable, and the solution, if one is even available at short notice, costs three times what it'd have cost if it had been arranged six weeks earlier.

Same gap. Same amount of money. Completely different outcome. The only difference is visibility.

This is why financing arrangements need to be set up before you need them, reviewed regularly, and connected directly to what your forecast is telling you. Your lender shouldn't be hearing from you for the first time when you're in trouble. They should be hearing from you regularly, receiving updates, seeing your forecast, understanding your business cycle. A lender who knows your business, who can see from your forecast that your needs are seasonal and predictable, who can see that you manage your cash flow actively, is a lender who will give you better terms, faster responses, and more flexibility than one who only hears from you when the account is overdrawn and the tone is desperate.

Talk to your lenders the way you talk to your key suppliers. Regularly. Proactively. With data. Show them the forecast. Show them the pattern. Show them that you understand your cash cycle and that you're using their facility as part of a managed system, not as a life raft.

Now, how much financing should you have in place? The answer comes directly from the forecast.

Look at your thirteen weeks. Identify the largest gap, the week where the difference between cash in and cash out is at its widest. That's your peak financing requirement. Your facility needs to cover at least that amount, with a margin of safety for the weeks when reality is slightly worse than the forecast predicted, because it sometimes will be.

The goal is to finance enough to fill the gap and as little as possible beyond that. Every pound of financing costs you money, whether in interest, fees, or both. Financing that you don't need is financing you're paying for unnecessarily. Financing that falls short of what you need is financing that leaves you exposed at the worst possible moment. The forecast tells you where the line is. Your facility should sit just above it.

For invoice finance specifically, the question is how much of your receivables book to finance. The answer follows the same logic. Finance enough to bridge the cash gap that your credit control can't close, and no more. If your credit control is strong and most of your clients pay within thirty days, you may only need to finance the invoices from your slower-paying clients, the ones on sixty or ninety-day terms whose gap is too wide to bridge from your own resources. If your credit control is still improving, you may need to finance a larger proportion until the improvements take effect.

As your credit control improves and your debtor days fall, the proportion of your receivables that needs financing should decrease. That is the system working. The three pillars aren't independent. They're connected. Better credit control reduces the need for financing. Better forecasting makes the financing you do use more efficient and less expensive. Better financing gives you the breathing room to implement credit control properly without the pressure of immediate cash shortfalls forcing you to compromise.

There's a rhythm to this that becomes natural over time. Monday morning, you update the forecast. You see the shape of the next thirteen weeks. You identify any gaps. You assess whether those gaps can

be closed through credit control, through payment management, or whether they need financing. If they need financing, you contact your lender with data and advance notice. “My forecast shows a requirement of fifteen thousand in week seven. I’d like to draw on the facility.” That’s a business owner in control. It’s the opposite of a panicked phone call from someone who just discovered they can’t make payroll on Friday.

Your financing arrangements should also be reviewed at least annually. As your business grows, your facility may need to grow with it. As your cash management improves, you may be able to reduce it. Always approach that conversation with your forecast in hand.

This is the third pillar. Credit control collects the cash. The forecast sees what’s coming. Financing bridges what remains. Three disciplines, working together, continuously, forming a system that manages your Cash Gap rather than letting it manage you.

The next chapter puts all three together.

Chapter Twenty-Six

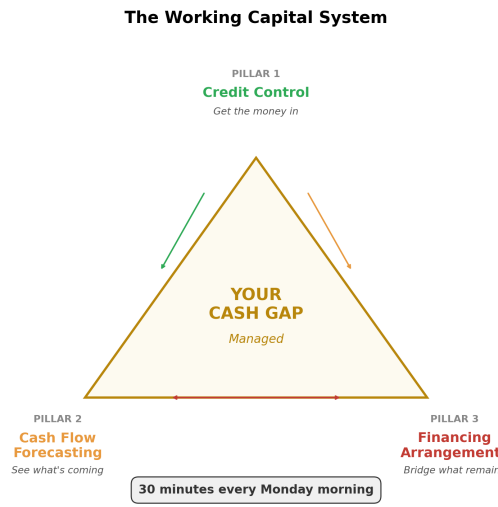
Putting It All Together

You now have three pillars. Credit control that gets you paid consistently and on time. A thirteen-week cash flow forecast that shows you what's coming before it arrives. And financing arrangements that bridge the gaps your own cash flow can't close. Separately, each one is useful. Together, they're a working capital system that will fundamentally change the way your business manages cash.

But the most common mistake I see, even among business owners who have implemented all three, is treating them as three separate tasks rather than one integrated discipline. Credit control runs on its own. The forecast sits in a spreadsheet that gets updated when someone remembers. The financing facility was arranged two years ago and nobody has reviewed it since. The three pillars exist, technically, but they're not connected. They're three solo instruments playing in different rooms instead of one orchestra playing in time.

Here is how they should work together. And once you see it, you won't be able to unsee it.

Monday morning. Thirty minutes. That's all it takes.



You open your cash flow forecast. You update last week's numbers with actuals, replacing estimates with what actually happened. You roll the forecast forward one week. You now have thirteen fresh weeks of visibility. You scan the columns. Where are the pressure points? Where are the comfortable weeks? Where is the gap between cash in and cash out at its widest?

Now you open your credit control dashboard. Your outstanding receivables. Who owes you money? How much? How overdue? You compare this against the forecast. The cash you're expecting in week three, is that realistic based on where those invoices sit in the credit

control process? If your biggest debtor is already two weeks overdue and hasn't responded to your last reminder, putting their payment in week three is optimism, not forecasting. Move it. Push it back. Adjust the forecast to reflect what you actually believe will happen, not what you hope will happen.

That adjustment might open a gap. Week three now shows a shortfall because the receipt you were counting on has been pushed to week five. Fine. You know this now, not in three weeks when the bank account tells you the hard way. You've options. You can escalate the credit control on that debtor, move them to the next stage of the process, make the phone call today. You can look at your other receivables and see if there's an invoice approaching its due date that you can nudge with a polite reminder. You can look at the payment side and see if there's a non-critical cost in week three that can be moved to week four without consequence.

And if none of those actions close the gap, you pick up the phone to your lender. Not in a panic. With your forecast in front of you. "I'm going to need fifteen thousand in week three. The facility is in place. I'd like to draw on it." Done. The gap is bridged. The payroll is safe. The rent is covered. And you made the decision on Monday morning with two weeks of lead time instead of on Friday afternoon with no time at all.

That is the system. Credit control feeding the forecast. The forecast informing the financing. The financing responding to what the forecast reveals. Three pillars working in concert, each one making the other two more effective.

When your credit control is strong, your forecast becomes more predictable because receipts arrive when you expect them. When your forecast is accurate, your financing becomes cheaper because you only borrow what you need for as long as you need it. When your financing is responsive, your credit control can be more disciplined because you're not compromising on chasing because you desperately need the cash this week.

The virtuous circle. That is what you are building. A system where each component reinforces the others and the whole thing becomes stronger over time.

Now I want to address the objection that's forming in your mind, because I've heard it from almost every client I've ever built this system with. "I don't have time for this."

Yes you do. Monday morning. Thirty minutes. Update the forecast. Check the credit control. Make any necessary calls. That is it. Half an hour out of a week that contains, at minimum, forty working hours. Less than one percent of your time. For a system that controls the single most important aspect of your business, the aspect that determines whether you survive or don't.

You spend more time than that on emails that achieve nothing. You spend more time than that in meetings that could have been messages. You spend more time than that worrying about cash at two in the morning, which is considerably less productive than thirty minutes on a Monday with a spreadsheet and a coffee.

The time objection is not really about time. It's about discomfort. Looking at your cash position honestly, every week, without the comforting distance of annual accounts or the wilful ignorance of not checking, is uncomfortable. Especially at the beginning. Especially when the numbers aren't where you want them to be. But that discomfort is information. And information, even uncomfortable information, is always better than the alternative, which is finding out too late.

There's one more thing I want to say about this system, and it is the most important thing in this chapter.

It gets easier.

The first time you build the forecast it'll take a couple of hours. The first time you update it you'll second-guess every number. The first month of running the system will feel like extra work on top of an already overloaded week.

By month three it'll take you twenty minutes on a Monday morning and you won't be able to imagine running your business without it. The forecast will feel like turning the lights on. The credit control will have reduced your debtor days noticeably. The financing conversations will be calmer, more professional, and cheaper. And the nagging, background anxiety about cash, the one that every SME owner carries but rarely talks about, will have started to recede. Not because the challenges have gone away. But because you can see them coming.

Credit control, cash flow forecasting, and financing arrangements. Three pillars. One system. Thirty minutes a week.

Every business in Part One of this book, every single one, would have benefited from having this system in place. The printing company would have seen the structural cash drain months earlier. The mortgage company would have known its true runway. The maverick would have understood his margins and his break-even point. The agency would have seen, in black and white, that her clients were taking seventy-eight days to pay and that one conversation could change everything.

None of them had it. You do now.

Building and maintaining this system manually takes discipline. It takes thirty minutes every Monday that you could spend on other things. It takes a spreadsheet that you have to update by hand and a credit control process that you have to run yourself. The system works manually and it works well.

But if you want it automated, if you want the forecast updating in real time, the credit control running on its own schedule, and the financing responding to what the system sees without you having to make the phone call every week, tools exist that do exactly that. Qashivo was built to automate all three pillars as one integrated system, because after decades of building this system manually with clients, it became clear that the businesses most likely to maintain it were the ones that didn't have to remember to do it.

That is not a pitch. It's an observation. The system works either way. The only question is whether you want to run it yourself or let the technology run it for you.

Either way, the system is yours now. Use it.

Chapter Twenty-Seven

Conclusion

The Other Side of the Gap

We started this book with four stories. Four businesses, four industries, four very different sets of circumstances, and one common killer. It seems right to end by returning to them.

The printing company is still trading. Same directors. Same customers. Same market. The business that went into administration and came back profitable from day one has continued to be profitable ever since. They're still my client. The model they rebuilt, variable costs, no fixed production overheads, outsourced printing that flexes with demand, turned out to be not just a survival mechanism but a better business. A genuinely better business than the one that came before it. Sometimes the hardest decision you ever make turns out to be the best one.

The maverick recovered. It took time. There was a period of real darkness, the kind that business books rarely talk about because it's easier to skip to the redemption than to sit in the silence that comes before it. But he came through it. He built a new business. He is, from everything I can see, in a much better place than he was when I knew him. Happier. Lighter. Still a salesman at heart, I suspect, and hopefully this time with someone keeping an eye on the numbers.

The mortgage company's owners moved on. They found other businesses, other opportunities, and by all accounts did fine. The legal case against the former director ground through the courts. The staff scattered. The customers, the ones we couldn't help when the products disappeared overnight, found other solutions or they didn't. That one still sits with me. Not the business failure, which was the product of forces nobody could have controlled, but the people on the other end of those phone calls who needed help we couldn't give.

The agency is still trading. Still profitable. Still producing excellent work for clients who value it. The difference is that the overdraft is clear, the debtor days are under control, and the owner no longer checks her bank balance every morning with her stomach in a knot. Nothing about the business changed except the gap. One conversation, one shift in invoicing, one decision to stop being her clients' unpaid bank. That is all it took.

And me? I lost a house. I overextended without a buffer and learned, in the most personal way possible, the lesson I now spend my career teaching other people. The Cash Gap doesn't care whether you're the advisor or the advised. It operates on the same mechanics for everyone.

I want you to understand something about the nature of what you've just read.

This book is not theory. None of it. Every chapter, every principle, every tool and every warning comes from real businesses, real people, real consequences. The printing company taught me about cost structures. The mortgage company taught me about reserves. The maverick taught me about the psychology of denial. The agency taught me that the most common version of the Cash Gap is also the most fixable. And my own experience taught me that knowing all of this isn't enough if you don't build the system to act on it.

That is what this book has given you. Not just knowledge. A system.

Credit control to get the money in. A thirteen-week forecast to see what's coming. Financing arrangements to bridge what remains. Three pillars, working together, thirty minutes a week, protecting your business from the gap that has claimed every company in Part One and thousands more that will never be written about.

The odds aren't in your favour. Most UK businesses don't make it. But statistics describe populations, not individuals. You're not a statistic. You're a person with a business, reading this page, right now, with a choice about what happens next.

You can put this book on a shelf, go back to checking your bank balance every morning and hoping for the best. That's a choice. But you'll remember it at three in the morning, six months from now,

when the cash is tight and the gap is open and you know that someone once told you there was a better way.

Or you can build the system. This week. Not perfectly. Not completely. But start. Calculate your break-even. Calculate your runway. Send that invoice today instead of next week. Have the money conversation with your next new client. Open the separate account for your reserve. Build the forecast, even a rough one, even an ugly one, even one that makes you uncomfortable. Start.

The Cash Gap is real. It's waiting. It doesn't care how good your product is, how hard you work, or how profitable you were last year.

But it's also beatable. Every day. With discipline, with visibility, and with a system that doesn't rely on luck.

You now have the tools. The rest is up to you.

And if you want help, you know where to find me.

Chapter Twenty-Eight

Appendix

Book Resources

Throughout this book I've referenced tools, templates and assessments that will help you implement everything you've read. Rather than print them here where they'd be static and out of date the moment the ink dries, I've made them all available online where they can be kept current, interactive, and immediately useful.

Visit qashivo.com/cashgap/resources to access the following.

The 13 Week Cash Flow Forecast Template. A simple, ready-to-use spreadsheet that you can download and start populating today. Built exactly as described in Chapter Seventeen, with opening balances, cash in, cash out, and closing balances across thirteen weeks. No complexity. No seventeen tabs. Just the tool that will change the way you run your business.

The One Page Cash Dashboard. A single-page view of the numbers that matter. Your cash position, your debtor days, your creditor days, your runway, and your reserve. Print it, pin it to the wall, update it weekly.

The Working Capital Health Check. A short, interactive assessment that tells you where your business stands right now. Answer honestly and it'll show you which chapters of this book you need most urgently and where your Cash Gap is most exposed. Takes five minutes. Could save you considerably more than that.

All resources are free. No registration wall, no sales pitch. Just the tools this book promised you.

qashivo.com/cashgap/resources

Glossary of Terms

This glossary covers every financial term used in this book, explained in the same plain English as the chapters themselves. If you encounter a word elsewhere that's not listed here, the chances are somebody is making it more complicated than it needs to be.

Accrual Accounting The accounting method that records income when it's earned and expenses when they're incurred, regardless of when the cash actually moves. This is why your profit and loss can say one thing while your bank account says another. See Chapter Six.

Accounts Payable See Payables.

Accounts Receivable See Receivables.

Administration A formal insolvency process where a licensed insolvency practitioner takes control of a company to try to rescue it, achieve a better result for creditors than immediate closure, or realise the company's assets. It is not the same as closing down, though it can lead there.

Asset Finance Borrowing money to purchase a specific asset, such as equipment, a vehicle, or machinery. The asset itself typically serves as security for the loan. Includes hire purchase and leasing arrangements.

Break-even Point The level of revenue at which your business covers all of its costs, fixed and variable, and makes neither a profit nor a loss. Below this point you're losing money. Above it you're making money. On it you're working very hard for nothing. Know your number. See Chapter Eight.

Capital Expenditure (Capex) Money spent on acquiring or improving long-term assets such as equipment, property, or vehicles. Unlike everyday operating costs, capex is typically a larger, less frequent outlay that affects your cash flow in concentrated bursts rather than steady streams.

Cash Flow The movement of money into and out of your business over a period of time. Positive cash flow means more is coming in than going out. Negative cash flow means the opposite. Neither tells you whether you're profitable. Both tell you whether you can pay your bills.

Cash Flow Forecast A projection of your expected cash inflows and outflows over a future period. In this book, we use a thirteen-week rolling forecast updated weekly. Its purpose is to show you what's coming before it arrives, not to be perfectly accurate. See Chapter Seventeen.

Cash Gap The space between when you spend money and when you get it back. The central concept of this book. Every business has one. The question is whether you're managing it or it's managing you. See Chapter Six for the full explanation.

Cash Reserve Money set aside in a separate account specifically to protect your business against unexpected shocks. Not a savings account you dip into when things are tight. A ringfenced fund for genuine emergencies. Target: six months of fixed costs. See Chapter Thirteen.

Cash Runway How long your business can survive on its current cash reserves if no new revenue arrives. Measured in weeks or months. Your worst-case runway uses only cash in the bank. Your best-case runway includes receivables you genuinely expect to collect. See Chapter Nine.

Confidential Invoice Finance An invoice finance arrangement where your customers aren't aware that a finance provider is involved. They continue to pay you directly. Useful for businesses that are concerned about perception.

Corporation Tax A tax on company profits paid to HMRC. Typically due nine months and one day after the end of your accounting period. Easy to forget about until the bill arrives, which is why it belongs in your thirteen-week forecast.

Cost of Capital The cost of the money you're using to fund your business, whether that's interest on a loan, fees on an invoice finance facility, or the return your investors expect. Every source of money has a price. Knowing that price helps you decide whether to use it.

Credit Control The process of managing the money owed to you by your customers. Includes invoicing, reminders, follow-ups, escalation, and, when necessary, stopping work for non-paying clients. The first pillar of the working capital system in this book. See Chapter Sixteen.

Credit Check An assessment of a potential customer's financial history and creditworthiness before you extend them payment terms. Takes minutes. Costs almost nothing. Can save you thousands.

Creditor Days The average number of days it takes you to pay your suppliers after receiving their invoice. Calculated as total payables divided by annual costs, multiplied by 365. The longer your creditor days, the longer your cash stays in your account.

Creditors See Payables.

Debtor Days The average number of days it takes your customers to pay you after you send an invoice. Calculated as total receivables

divided by annual revenue, multiplied by 365. The shorter your debtor days, the faster your cash comes back.

Debtors See Receivables.

Disclosed Invoice Finance An invoice finance arrangement where your customers know a finance provider is involved and pay the provider directly rather than paying you. More common with larger facilities.

Early Payment Discount A discount offered by a supplier in exchange for paying before the agreed terms. Typically something like two percent off for payment within ten days instead of thirty. Whether it's worth taking depends on your cash position.

Fixed Costs Costs that remain the same regardless of how much business you do. Rent, salaries, lease payments, insurance. They don't care whether you'd a good month or a bad one. They're only safe when the volume of business needed to cover them is consistently arriving. See Chapter Eight.

Gross Margin The amount left over from your revenue after you've paid the variable costs of delivering the work. Expressed as a percentage, it tells you how much of every pound earned is available to cover your fixed costs and generate profit.

HMRC His Majesty's Revenue and Customs. The UK tax authority. They collect VAT, PAYE, National Insurance, and Corporation Tax, among other things. They're patient up to a point. Beyond that point, they're not.

Insolvency The state of being unable to pay your debts as they fall due. Not the same as being unprofitable. A profitable business can be insolvent if its cash position can't support its obligations. This is the Cash Gap at its most dangerous.

Invoice Finance A form of funding where you borrow against your outstanding invoices. A finance provider advances you a percentage of the invoice value immediately, then collects the full amount from your customer when they pay. Useful for bridging the cash gap. Expensive if misused. See Chapter Fifteen.

Merchant Cash Advance A form of short-term funding where a provider advances you a lump sum in exchange for a percentage of your future card transactions. Typically very expensive. Approached with extreme caution in this book.

Overdraft A facility that allows you to spend more than you've in your bank account, up to an agreed limit. Useful as a temporary safety net. Dangerous as a permanent funding solution. If yours never returns to zero, the problem isn't the size of the overdraft.

Overtrading Growing faster than your working capital can support. Taking on more work, more customers, more commitments than your cash flow can fund. Looks like success from the outside. Looks like a ticking timebomb from the inside.

Payables Money you owe to other people. Suppliers, landlords, HMRC, staff. Also called creditors or accounts payable. The second of the three levers that control your Cash Gap.

PAYE Pay As You Earn. The system through which employers deduct income tax and National Insurance from employees' wages and pay it to HMRC. A non-negotiable cost that must be paid on time.

Profit and Loss Account (P&L) A financial statement showing your revenue, costs, and resulting profit or loss over a period of time. Useful. Important. Not a bank statement. The difference between your P&L and your bank balance is the Cash Gap.

Receivables Money that other people owe you. Customers who have received your product or service and haven't yet paid for it. Also called debtors or accounts receivable. The first of the three levers that control your Cash Gap.

SEIS (Seed Enterprise Investment Scheme) A UK government scheme that offers tax relief to individual investors who buy shares in early-stage companies. Referenced in Chapter Four. A common funding route for startups and small production companies.

Subprime Lending to borrowers who don't meet the criteria for standard, or prime, credit products. Typically carries higher interest rates to reflect the higher risk of default. The subprime mortgage market's collapse in 2007–2008 is the backdrop to Chapter Two.

Time to Pay Arrangement An agreement with HMRC to pay a tax debt in instalments over an agreed period. Available to businesses experiencing temporary financial difficulty. Better to arrange proactively than to wait until HMRC comes looking.

Variable Costs Costs that change with your level of activity. If you sell more, they go up. If you sell less, they come down. Raw materials, subcontractor costs, shipping. They breathe with the business, which makes them considerably less dangerous than fixed costs.

VAT (Value Added Tax) A tax charged on most goods and services sold by VAT-registered businesses. Collected from customers and paid to HMRC. The timing difference between collecting it and paying it can create significant cash flow pressure, particularly around quarterly payment dates.

Work in Progress (WIP) In service businesses, time and resources that have been spent on a project but not yet invoiced. The service business equivalent of stock sitting on a shelf. Cash that has been converted into labour and is waiting to be converted back into revenue. See Chapter Twelve.

Working Capital The cash available to fund the day-to-day operations of your business. Practically understood as the money that keeps the lights on between paying your costs and collecting your revenue.

Chapter Twenty-Nine

About Qashivo

Everything this book teaches manually, Qashivo automates intelligently.

Qashivo is an AI-driven working capital intelligence system for SMEs. It automates credit control, cash flow forecasting, and pre-authorised financing in one integrated platform, managing your Cash Gap so you can focus on running your business.

At the heart of Qashivo is something this book can't do on its own. It learns.

Every debtor in your business behaves differently. Some pay on time without prompting. Some need a gentle reminder. Some need persistent, escalating contact before they act. Some respond to emails. Some respond to phone calls. Some respond to nothing at all until the consequences become real. You know this already because you've been chasing invoices long enough to recognise the patterns.

Qashivo recognises them too. The platform manages each of your debtors in a way that's unique to their behaviour, adapting its approach based on how each customer responds. A client who always pays three days after a reminder gets a reminder at exactly the right moment. A client who ignores the first two emails but responds to the third gets all three, timed and sequenced automatically. The system subtly changes your customers' payment behaviour over time, training them to pay faster in the same way that Chapter Sixteen describes, but continuously, automatically, and individually tailored to each relationship.

As your debtor days improve, your cash flow improves. As your cash flow improves, your need for external financing decreases. As your financing requirement decreases, the cost of that financing falls. Each improvement drives the next. The Cash Gap narrows continuously, because the system is always learning, always adapting, always working.

The cash flow forecast updates in real time, drawing data from your accounting software, your customers' predicted payment behaviour, and your bank feeds. No spreadsheets. No Monday morning updates. The forecast is always current, always visible, and always showing you what's coming over the next thirteen weeks. When a gap appears, the system identifies it before you do.

And when financing is needed, it's already there. Qashivo connects to pre-authorised financing facilities so that when the forecast identifies a shortfall, the funding is available immediately. No panicked phone calls to the bank. No last-minute applications. Financing that

responds to your forecast, arranged from strength, used precisely, and repaid as your collections arrive.

Credit control that learns. Forecasting that updates itself. Financing that's ready when you need it.

This book gives you the understanding. Qashivo gives you the intelligence.

Visit qashivo.com to find out more. And for the free templates, dashboard, and health check referenced throughout this book, go to qashivo.com/cashgap/resources.